China Investment Compass - Quarterly

3Q26: navigating a K-shaped market

Equity Strategy

A stock pickers' market with diverging performance

China equities posted divergent performance in 2Q: MSCI China/HSCEI fell 7.6%/9.8%, while ChiNext/STAR 50 surged 38.6%/78.6%, highlighting the gap between internet-heavy HK benchmarks and A-share growth indices. Globally, macro events (eg Iran conflict, the Trump-Xi meeting) had limited market impact, while AI capex drove earnings upgrades across tech supply chains. Positioning became more concentrated and crowded, volatility is elevated, and retail leverage (incl leveraged ETFs) amplified market swings. Sentiment became more fragile amid inflation and liquidity concerns. We continue to view China as a stock pickers' market, with A-shares likely to outperform H-shares until the global AI rally unwinds. We maintain our barbell strategy, favoring both value/yield and sectors with strong earnings support and R.E.A.L. moats.

Market: inexpensive, but not yet compelling

MSCI China fell 7.6% in 2Q26 in USD terms, underperforming global markets (vs MSCI World: +14.5%, MSCI EM: +23.3%). Within MSCI China, IT was the only sector with positive return in 2Q (+36.7%), while Consumer Discretionary (-20.7%), Consumer Staples (-18.6%) and Materials (-18.3%) were the worst performers. The index currently trades at 10.3x forward P/E, a 12% discount to its long-term average, but still above the historical trough of 8-9x. Earnings remain challenged, with consensus 2026E EPS growth revised down from 11-12% in Jan to 2-3% now. Flow-wise, liquidity pressures are building in 3Q, with nearly HKD540bn of lock-up expiries and a strong IPO pipeline.

Macro: uneven growth with continued domestic softness

China Investment Compass (CIM) should mostly be in the C4/stimulating phase in 2026. Credit growth slowed from 8.2% in 2025 to 7.7% in 1Q26 and 7.4% in May, alongside weak domestic demand. FAI declined 4.1% YoY, while retail sales rose just 1.4% in 5M26. Exports remained a bright spot (+15.5% YoY in 5M26), but the uneven growth caps investor conviction on China equities. PPI turned positive in Mar-26, after 41 consecutive months of deflation, and rose to 3.9% by May, driving a strong industrial profit growth of 18.8% YoY in 5M26. However, sustainability is questionable given the lower energy prices. Expectations for near-term policy stimulus remain muted.

Model portfolio: industrials/tech over utilities/consumers

For 3Q26, our quant-driven portfolio upgrades industrials (incl. heavy machinery and electrical equipment) and tech hardware to the Top-10 OW list. We stay positive on communications equipment, which was up 92% in 2Q. We also upgrade diversified financials for strong 2Q earnings, and remain constructive on metals & mining (ex-gold), chemicals, and life sciences sectors. On the other hand, our model downgrades IPPs & renewables and liquors to the Bottom-10 UW list, while remains cautious on the autos, gas & water utilities, real estate, biotech, and household durables sectors.

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Equity Strategy
China

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Glossary

OW: overweight

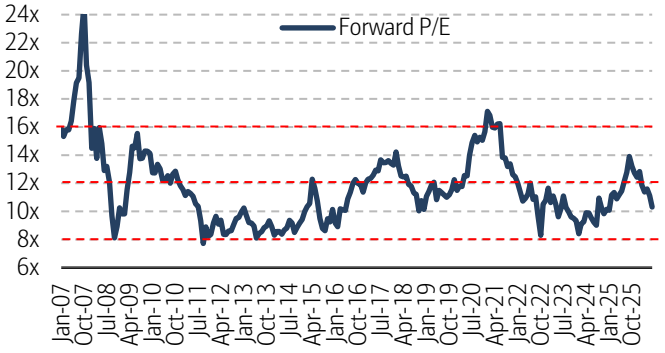
UW: underweight

R.E.A.L.: Regulatory Critical – Enduring Cycles – Asset Heavy – Local Services

Executive summary: the 3Ms

Market: MSCI China and H-share significantly underperformed A-share and global markets in 2Q. MSCI China's forward P/E at 10.3x currently is 12% below the long-term average. EPS growth expectations have been reduced to 2-3% YoY for 2026E.

Exhibit 1: MSCI China's P/E at 10.3x is 12% below long-term average
Forward P/E valuation of MSCI China Index



Source: Bloomberg, MSCI

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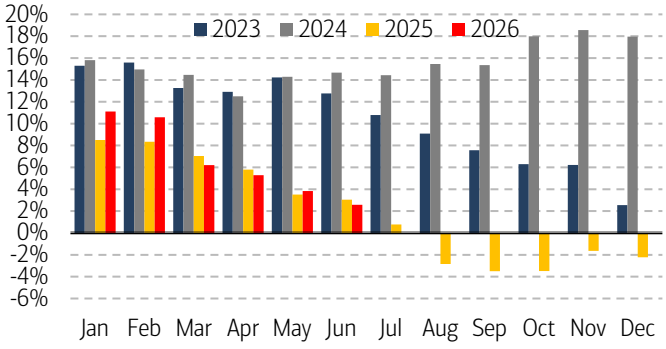
Exhibit 2: Consensus EPS forecast was cut from >11% in Jan to <3%
Consensus forecast for MSCI China earnings growth



Source: MSCI, FactSet

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Macro: Credit and nominal GDP growth softened in 5M26, along with weak FAI and consumption, although higher energy prices drove up PPI and industrial profits.

Exhibit 3: China's consumer confidence retreated in Mar-Apr 2026
China consumer confidence index (CCI)

Source: NBS

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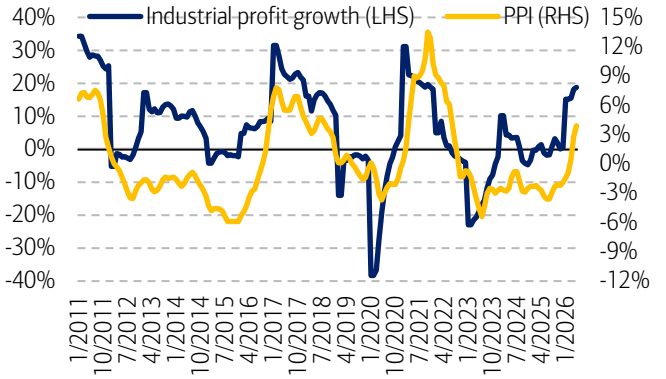
Exhibit 4: Industrial profit growth accelerated to 18.8% YoY in 5M26
Industrial profit growth (YTD) vs PPI inflation



Source: NBS, CEIC

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Model portfolio: For 3Q26, we prefer industrials (heavy machinery, electrical equipment), tech (communications equipment, hardware), and materials. Underweight utilities (IPPs, gas & water), consumers (liquors, auto, durables) and biotech sectors.

Exhibit 5: We prefer brokers/industrials/tech sectors over consumer/utilities in 3Q26
China Investment Compass based model portfolio recommendation: 3Q26

#	Overweight Sectors	vs 2Q26	Underweight Sectors	vs 2Q26
1	FI- Diversified Financials	↑	UTL- Independent Power & Renewable	↓
2	MAT- Metals & Mining (ex. gold)	√	CS- Liquors	↓
3	MAT- Chemicals	√	CD- Auto	√
4	IND- Heavy Machinery	↑	COM- Telecom	√
5	IND- Electrical Equipment	↑	CD- Household Durables	√
6	IT- Communications Equipment	√	IND- Construction & Engineering	↓
7	IND- Airline, Logistics & Shipping	√	RE- Real Estate	√
8	IT- Technology Hardware	↑	HC- Biotechnology	√
9	COM- Interactive Entertainment	↑	UTL- Gas & Water Utilities	√
10	HC- Life Sciences Tools & Services	√	MAT- Construction Materials & Paper	↓

Source: BofA Global Research *√shows sectors on our OW/UW list last quarter; ↑ shows new upgrades, ↓ shows new downgrades

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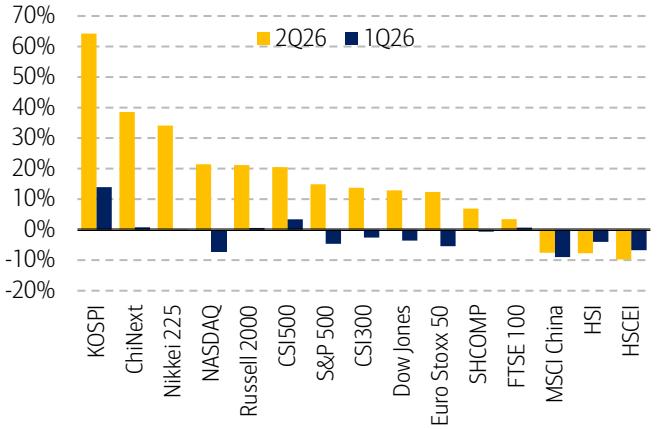
Market: inexpensive, but not compelling

Market performance review

2Q26 was marked by AI-led market leadership, resulting in sharper divergence between tech and non-tech sectors and between A- and H-shares. While investors increasingly looked through geopolitical headlines, concerns over weak domestic demand and an export-reliant economy continued to cap conviction on China equities. In USD terms, KOSPI (+64.2%), ChiNext (+38.6%), and Nikkei 225 (+34.1%) outperformed in 2Q26, while HSCEI (-9.8%), HSI (-7.7%), and MSCI China (-7.6%) lagged. Within MSCI China, IT was the only sector with positive return in 2Q (+36.7%), while Consumer Discretionary (-20.7%), Consumer Staples (-18.6%) and Materials (-18.3%) were the worst performers. A/H-share divergence widened notably: CSI 300 +13.7% in 2Q, while HSCEI -9.8%. P/E valuation of MSCI China fell back to 10.3x, which is a 12% discount to its long-term average, but still above the historical trough of 8-9x.

Exhibit 6: KOSPI, ChiNext, and Nikkei 225 outperformed in 2Q26 while HSCEI, HSI and MSCI China lagged
Comparison of key global market performance



Source: Bloomberg, MSCI *Net return excluding dividend

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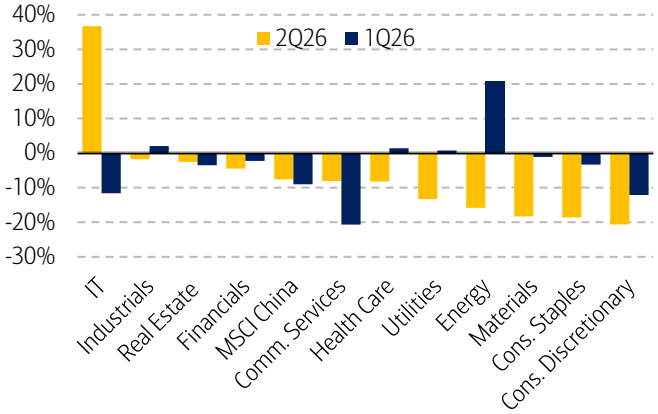
Exhibit 7: IT significantly outperformed in 2Q26, while consumer discretionary, consumer staples and materials lagged
Comparison of MSCI China sector performance



Source: Bloomberg, MSCI *Net return excluding dividend

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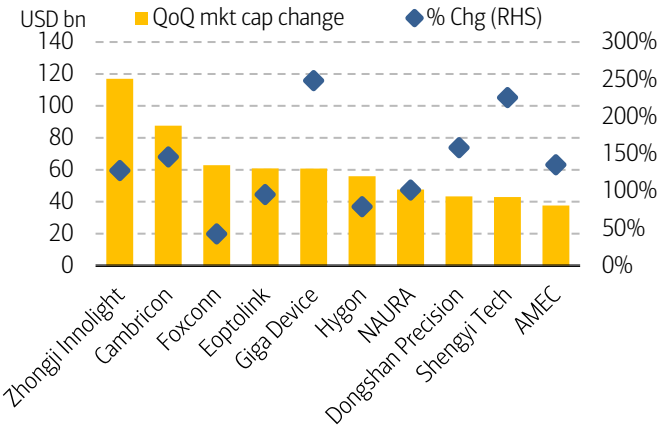
All of the top 10 market cap gainers in 2Q26 came from the tech hardware and semis sectors, whereas the largest market cap losers spread across the energy, internet, consumer and materials sectors.

Exhibit 8: AI hardware and semis stocks were among the top market cap gainers
Top 10 market cap gainers in MSCI China (2Q26)



Source: Bloomberg, MSCI

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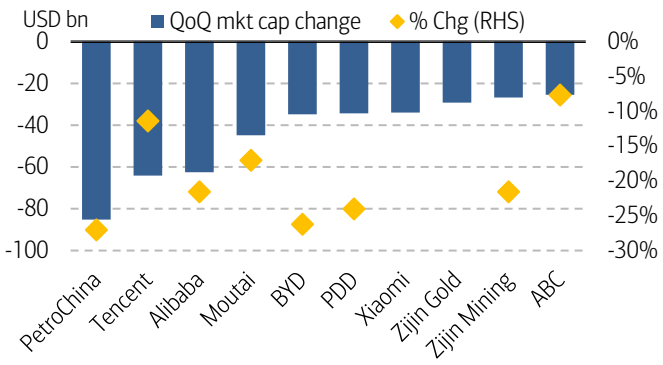
Exhibit 9: Energy, internet and consumer stocks were among the top market cap losers
Top 10 market cap losers in MSCI China (2Q26)



Source: Bloomberg, MSCI

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AI investing became increasingly nuanced in 2Q26, as markets grappled with shifting narratives around memory supercycles, CPO deployment delays, domestic GPU substitution, and internet platforms' AI monetization. However, a series of brief but sharp sentiment resets from late May highlighted growing investor discomfort. Concentrated holdings, elevated volatility, retail leverage (including leveraged ETFs), and rising inflation and liquidity concerns contributed to increasingly jittery market sentiment. Global yield breakouts, a muted Trump-Xi summit, China's cross-border capital flow tightening, and renewed geopolitical uncertainty further triggered periodic de-risking. The narrow rally also widened the divergence between A-shares and H-shares. China's AI localization theme remained a key source of support for onshore equities, while the offshore Hong Kong market, with lower exposure to domestic semiconductor champions and higher weights in internet and financial stocks, was more vulnerable to earnings risks, macro headwinds, and domestic policy actions.

Policy actions in 2Q26 appeared more targeted, in contrast to the broad-based margin requirement tightening in January. In late May, regulators launched a two-year crackdown on illegal cross-border investment by mainland investors and penalized three online brokers. In addition, the State Council issued Order No. 837 on Outbound Investment, expanding oversight to resident individuals and embeds national security, export control, and cross-border compliance considerations into overseas investment activities. Meanwhile, Chinese tax authorities have stepped up scrutiny of overseas income and assets reported through CRS (Common Reporting Standard) information-sharing mechanisms, prompting investor concerns on outbound wealth flows and offshore asset holdings. These developments raised worries over Hong Kong's liquidity and its insurance, wealth management, and property sectors. Separately, regulatory overhang on large internet platforms resurfaced, as evidenced by SAMR-led actions targeting platform marketing practices during the "618" shopping festival, food delivery competition and safety standards, and online train-ticketing services.

Vibrant IPO market is bright spot amid tech boom, with A-share IPO fundraising +89% YoY to USD10bn in 1H26 and HK proceeds +91% YoY to USD27bn, the strongest first-half on record. Concerns of capital rotation away from existing holdings to fund new offerings, as well as selling pressure from upcoming lock-up expirations of recently listed names, increasingly weighed on near-term sentiment.

Macro activity data in Apr-May pointed to further weakness in domestic demand and investment, and economic growth became increasingly reliant on exports. Policy direction remained broadly consistent. The new overnight rate framework signals higher tolerance for lower rates, while fiscal spending YTD appeared more delayed and conditional. Apr Politburo meeting readout indicated no rush on stimulus and highlighted economic resilience, as market expected. The Lujiazui forum in Jun unveiled a narrower short-term rate corridor (50bp vs. 70bp previously) to improve short-term liquidity guidance, introduced a new "FIMA RMB Repo" to supply offshore yuan liquidity, and relaxed STAR listing criteria to accommodate pre-profit AI model companies.

Geopolitics remained an overhang across Asian markets, but its marginal influence diminished during 2Q26, particularly for A-shares. Investors looked through geopolitical shocks and focused on regions and sectors with stronger AI fundamentals, notably Korea and Taiwan, while China relatively underperformed.

On US-China relations, the Trump-Xi summit in May delivered modest economic agreements, although progress on core disputes remained limited. A positive takeaway was Trump's invitation for Xi to visit the White House in Sep-2026, providing a degree of near-term policy stability. China was also not singled out in the Section 301 findings released in early June; the 12.5% tariff was imposed alongside measures targeting multiple major trading partners over forced-labor concerns. That said, geopolitical and reputational risks continue to rise as new restrictions emerge. In June, the Pentagon updated its Section 1260H list of entities with alleged military ties, adding several major Chinese companies, including Alibaba, Baidu, BYD, CXMT, and Unitree.

Exhibit 10: 2Q26 was shaped by a narrow tech rally. Within China, Star 50, ChiNext, CSI500, and CSI 1000 outperformed NASDAQ Golden Dragon, HSCEI and HSI

Performance comparison (net return in USD terms, as of Jun 30th)

	Current level	Performance (%)								Ranking							
		1M	3M	6M	12M	YTD	3yr	5yr	10yr	1M	3M	6M	12M	YTD	3yr	5yr	10yr
Major indices																	
S&P 500	7,499	-1.1	14.9	9.6	20.9	9.6	68.5	74.5	257.3	12	9	10	11	10	6	3	2
Dow Jones	52,319	2.5	12.9	8.9	18.7	8.9	52.1	51.6	191.8	7	11	11	12	11	9	5	4
NASDAQ	26,214	-2.8	21.4	12.8	28.7	12.8	90.1	80.7	441.3	13	5	8	9	8	4	2	1
Euro Stoxx 50	6,328	2.3	12.4	6.3	15.8	6.3	50.4	50.0	127.7	8	12	12	13	12	10	6	7
FTSE 100	10,497	-0.8	3.4	4.1	15.8	4.1	45.2	43.2	61.2	11	14	14	14	14	11	7	9
Nikkei 225	70,062	3.4	34.1	33.8	53.4	33.8	87.3	66.2	185.4	6	4	4	5	4	5	4	5
KOSPI	8,476	-2.9	64.2	87.1	141.2	87.1	181.3	87.8	220.0	14	2	1	1	1	1	1	3
Russell 2000	3,024	3.6	21.2	21.9	39.0	21.9	60.1	30.9	162.5	5	6	6	7	6	8	9	6
MSCI China	70	-7.6	-7.6	-15.9	-6.8	-15.9	16.1	-36.6	25.0	15	15	17	16	17	17	17	14
NASDAQ Golden Dragon	5,848	-11.2	-13.4	-22.3	-20.3	-22.3	-10.8	-60.7	-11.2	18	18	18	18	18	18	18	17
HSI	22,881	-9.2	-7.7	-11.4	-4.9	-11.4	20.9	-21.4	8.9	16	16	15	15	15	15	15	15
HSCEI	7,558	-10.4	-9.8	-15.8	-12.8	-15.8	17.5	-29.8	-14.2	17	17	16	17	16	16	16	18
SHCOMP	4,094	0.3	6.9	6.2	25.5	6.2	36.7	8.5	37.0	10	13	13	10	13	14	13	13
CSI300	4,979	1.5	13.7	10.7	33.5	10.7	38.5	-9.3	54.8	9	10	9	8	9	13	14	10
CSI500	9,031	7.7	20.5	24.6	61.1	24.6	60.9	26.2	44.6	2	7	5	4	5	7	10	12
CSI1000	8,810	4.4	17.5	19.4	46.3	19.4	42.6	18.3	-1.2	4	8	7	6	7	12	12	16
ChiNext	4,343	7.2	38.6	39.6	112.9	39.6	109.5	18.8	91.1	3	3	3	3	3	3	11	8
Star 50	2,208	25.7	78.6	69.1	132.2	69.1	134.8	32.3	52.1	1	1	2	2	2	2	8	11
Asset classes																	
Gold USD Spot	4,008	-11.7	-14.1	-7.2	21.3	-7.2	108.8	126.4	203.2	4	5	5	2	5	1	1	2
Crude oil, Brent	73	-20.8	-38.4	19.8	7.9	19.8	-2.6	-2.9	46.8	6	6	1	5	1	5	5	5
Iron ore, Dalian	743	-6.7	-7.8	-5.3	8.3	-5.3	-10.4	-48.8	64.0	2	2	4	4	4	6	6	4
Copper, CMX	619	-3.1	10.3	9.0	23.1	9.0	65.5	44.1	182.2	1	1	3	1	3	3	3	3
Bloomberg Commodity Index	123	-8.8	-8.9	12.3	20.7	12.3	21.4	30.3	38.6	3	3	2	3	2	4	4	6
Bitcoin USD Spot	58,642	-20.4	-14.0	-33.1	-45.5	-33.1	93.0	69.6	8,715	5	4	6	6	6	2	2	1
MSCI China subsectors										vs MSCI China							
Communication Services	125	-1.0	-8.1	-27.1	-14.4	-27.1	19.1	-29.5	-6.3	6.6	-0.5	-11.2	-7.6	-11.2	3.0	7.1	-31.3
Consumer Discretionary	147	-16.5	-20.7	-30.3	-24.6	-30.3	-10.3	-61.0	-7.9	-8.9	-13.1	-14.4	-17.8	-14.4	-26.3	-24.3	-32.9
Consumer Staples	831	-11.7	-18.6	-21.3	-21.2	-21.3	-35.7	-60.1	0.7	-4.1	-11.0	-5.4	-14.4	-5.4	-51.8	-23.5	-24.3
Energy	643	-15.7	-15.8	1.6	20.3	1.6	31.5	77.2	52.2	-8.1	-8.2	17.5	27.1	17.5	15.5	113.9	27.2
Financials	525	-5.6	-4.5	-6.6	-0.9	-6.6	43.1	10.2	34.4	2.0	3.1	9.3	5.8	9.3	27.1	46.9	9.4
Health Care	178	-3.9	-8.2	-6.9	2.4	-6.9	6.1	-59.1	31.4	3.7	-0.6	9.0	9.2	9.0	-10.0	-22.5	6.4
Industrials	125	-8.0	-1.7	0.3	16.1	0.3	21.3	-15.7	5.6	-0.4	5.9	16.2	22.9	16.2	5.2	20.9	-19.3
Information Technology	1,159	5.8	36.7	20.8	15.2	20.8	104.9	-3.0	242.2	13.4	44.3	36.7	22.0	36.7	88.8	33.6	217.2
Materials	1,272	-14.2	-18.3	-19.2	38.6	-19.2	66.8	7.5	135.2	-6.6	-10.8	-3.3	45.4	-3.3	50.7	44.1	110.3
Real Estate	392	-16.2	-2.5	-6.0	-10.8	-6.0	-31.7	-72.8	-60.8	-8.6	5.0	9.9	-4.0	9.9	-47.8	-36.2	-85.8
Utilities	492	-16.4	-13.3	-12.7	-11.6	-12.7	-12.3	-33.8	-3.5	-8.8	-5.7	3.2	-4.8	3.2	-28.4	2.8	-28.5

Source: Bloomberg, MSCI *Net return excluding dividend

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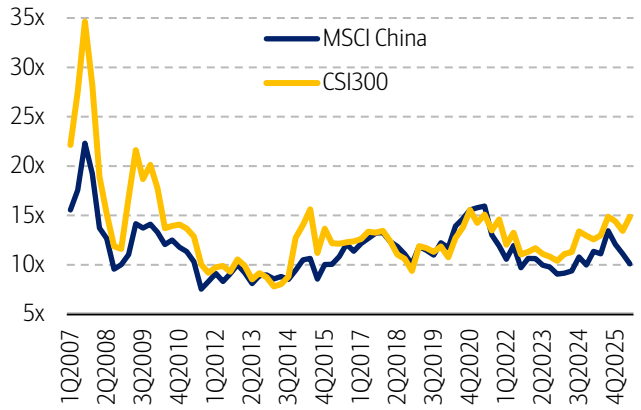
Valuation and earnings revision

The average 12mth forward P/E valuation for the CSI 300 index rose to 14.9x, 11% above its long-term average, while MSCI China Index traded at 10.3x as of 2Q26, a 12% discount to average. Vast majority of the MSCI China sectors were below their historical average P/E levels. IT and Real Estate were the notable exceptions, trading at 80% and 40% premiums to their historical average, respectively. By contrast, Consumers and Energy had the largest discount, at 32-35% below their long-term average levels.

Exhibit 11: P/E is at 15x for CSI 300 and 10x for MSCI China
Forward P/E valuation of China market indices



Source: Bloomberg, MSCI

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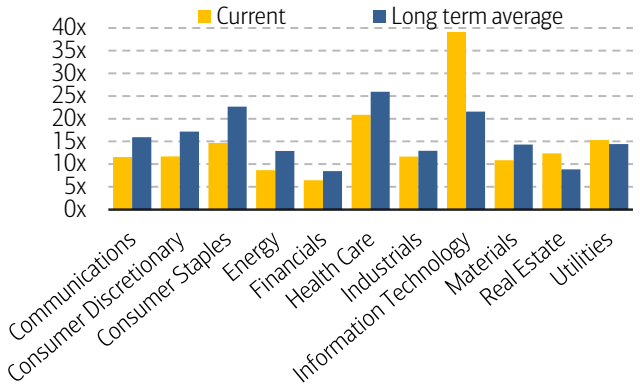
Exhibit 12: IT, Real Estate, and Utilities are above their long-term P/E levels in 2Q26
Forward P/E valuation of major MSCI China sectors



Source: Bloomberg, MSCI

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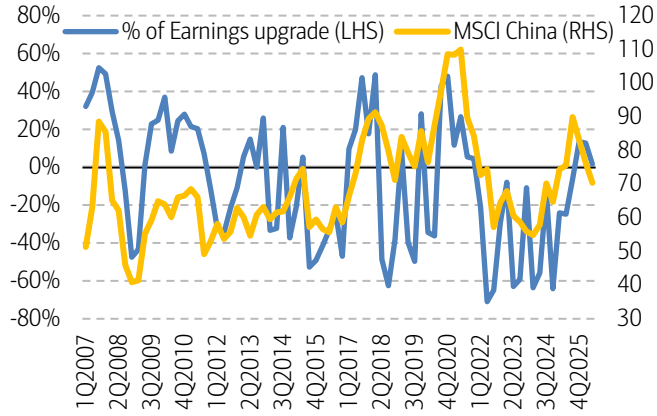
In 2Q26, consensus earnings for the MSCI China Index were revised down by 3.6% QoQ, partly reflecting internet sectors' earnings challenges. Within MSCI China, net earnings upgrades accounted for 2% of companies, down from 13% in 1Q26. Energy (83%), Materials (47%) and Financials (38%) saw the most net earnings upgrades while Real Estate (-67%) and Utilities (-59%) saw the most net downgrades.

Exhibit 13: Net earnings upgrade accounted for 2% of total companies in 2Q26, vs 13% in 1Q
MSCI China performance vs index earnings revision QoQ



Source: Bloomberg, MSCI

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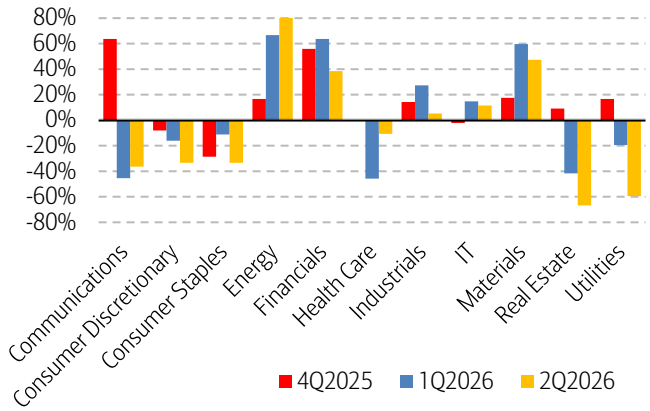
Exhibit 14: Energy and Materials saw the highest net upgrades, while Real Estate and Utilities saw the most downgrades in 2Q26
Percentage of companies that had net earnings upgrade



Source: Bloomberg, MSCI

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China flow lens

Domestic capital offsets weak foreign inflows

The recovery in foreign fund inflows highlighted in our China Flow Lens, 12 June 2026 proved short-lived. Following a strong rebound in May, foreign-domiciled China equity funds tracked by EPFR recorded net outflows of USD2.1bn in the four weeks ended 1 July. At the market level, A-share funds saw net redemptions of USD523.1mn, reversing from net inflows of USD347.4mn in the four weeks ended 27 May. Meanwhile, inflows into Hong Kong-focused funds also moderated notably, declining from USD587.5mn to USD347.8mn over the same period.

Exhibit 15: Capital flows to foreign-domiciled China equity funds turned negative again over the past 4 weeks
Weekly capital flows to foreign-domiciled China funds benchmarking against MSCI China, A-share indices, and Hong Kong indices (USD mn)

Benchmarks	1-Apr	8-Apr	15-Apr	22-Apr	29-Apr	6-May	13-May	20-May	27-May	3-Jun	10-Jun	17-Jun	24-Jun	1-Jul
China (Total)	-2439.4	-271.9	328.9	385.5	-371.1	-1016.7	935.3	2809.8	-1931.7	-3295.5	-258.1	-1924.8	1276.2	-1237.6
MSCI China	-209.8	30.4	67.0	-430.0	-492.8	-27.5	-152.0	-41.8	-35.2	-123.4	-182.9	-50.0	-54.0	-42.1
A-share indices	-152.8	-41.9	205.1	-80.2	-31.3	3.1	307.0	120.2	-82.9	-261.2	-142.8	-181.1	31.5	-230.7
H-share indices	-1976.4	-259.1	262.9	470.6	350.1	-900.4	103.9	1733.8	-349.7	-2375.0	549.0	-1121.8	1535.4	-614.8

Source: EPFR. Note: A-share index benchmarks include MSCI China A Share, MSCI China A 50, CSI 300, SSE Composite Index, SSE 50, Shenzhen ChiNext, and CSI 800. H-share index benchmarks include HSI, Hang Seng China Enterprise, and Hang Seng Tech. China (total) represents a broad universe of all EPFR-tracked foreign-domiciled funds with a China investment mandate, whose benchmarks also include other China-specific indices or multi-market indices (i.e., 70%*CSI300+30%*HSI). AUM for funds linked to China (total)/MSCI China/A-share indices/H-share indices was USD194.4bn/USD27.7bn/USD16.1bn/USD47.0bn as of May 27

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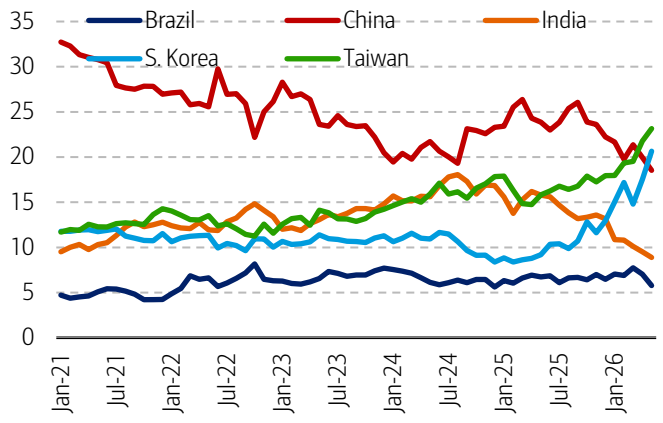
The renewed outflow since late May coincided with a decline in China's allocation by active EM funds, with its portfolio weight falling from 20.0% in April to 18.5% in May. That said, active funds' underweight in China narrowed further relative to passive funds, which are a proxy for benchmark weights. Elsewhere, active EM funds' overweight exposure to South Korea further widened in May, while they becoming more underweight Taiwan relative to passive funds.

Exhibit 16: EM funds' exposure to South Korea and Taiwan stocks soar
Market allocations by active global EM funds (%)



Source: EPFR

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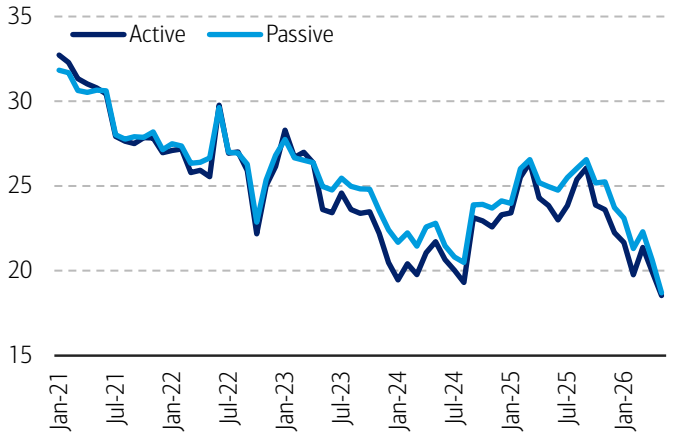
Exhibit 17: Active funds' UW positions on China narrowed
Active and passive global EM funds' exposure to China stocks (%)



Source: EPFR

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In contrast to the sluggish foreign inflows into China equities, domestic investors continued to provide strong liquidity support to the A-share market, particularly through retail participation. New account openings rose 3.6% MoM to 2.86mn in June, bringing the 1H26 total to 20.16mn, up 60.0% YoY. Mutual fund issuance remained robust, with new equity fund launches hitting a fresh YTD high in June. Meanwhile, corporate share buybacks stayed supportive at RMB16.3bn, broadly in line with the RMB17.1bn recorded in May. The key exception has been China's "national team", which continued to reduce its holdings of broad-market domestic ETFs in June. Even so, as cumulative YTD net outflows have already exceeded the total inflows recorded during 2023-25 – partly reflecting the share price appreciation over the past two years – we expect the pace of such selling to moderate in 2H26.

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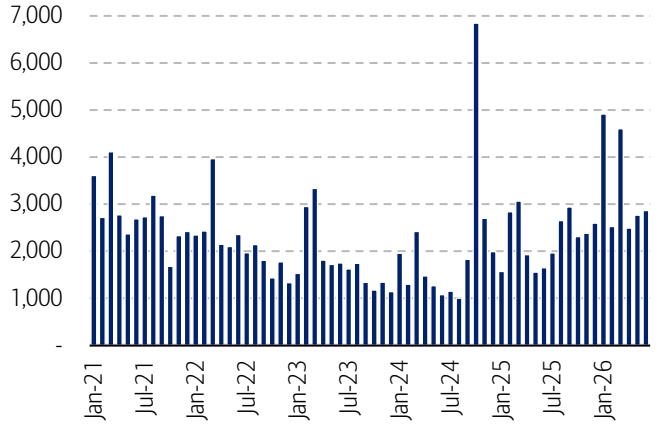
Exhibit 18: SSE new account opening +60% YoY in 1H26
New account openings at the Shanghai Stock Exchange ('000)



Source: WIND

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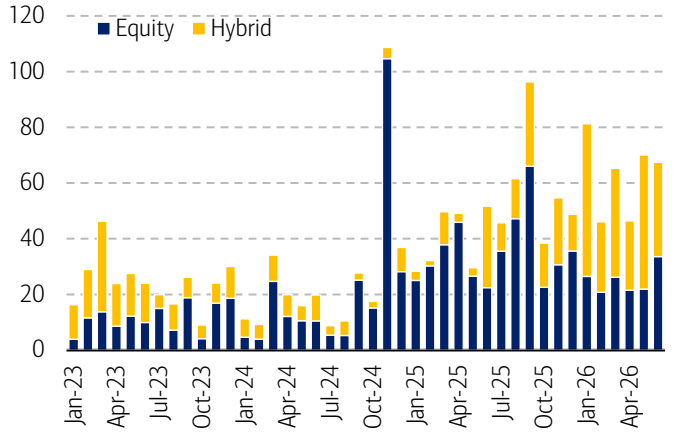
Exhibit 19: Equity fund issuances hit a fresh YTD high in June
Issuances of new mutual funds (bn shares)



Source: WIND

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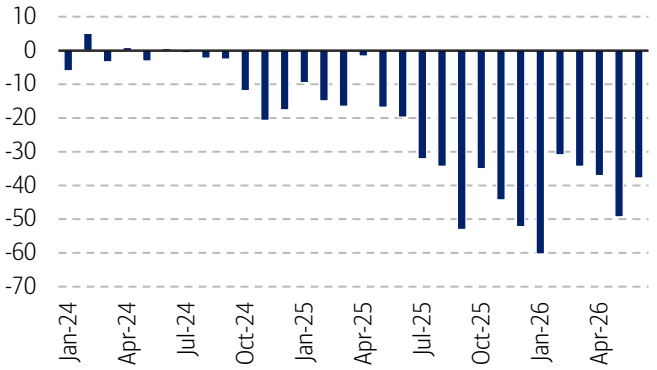
Exhibit 20: Major shareholders' stock selling edged down in June
Share reductions by major shareholders in the A-share market (RMB bn)



Source: WIND. Note: "share reductions by major shareholders" refers to situations where large shareholders sell down their stakes in a listed company. Major shareholders include founders/controlling shareholders, senior management, strategic or financial investor, or any shareholder holding ≥5% of the company

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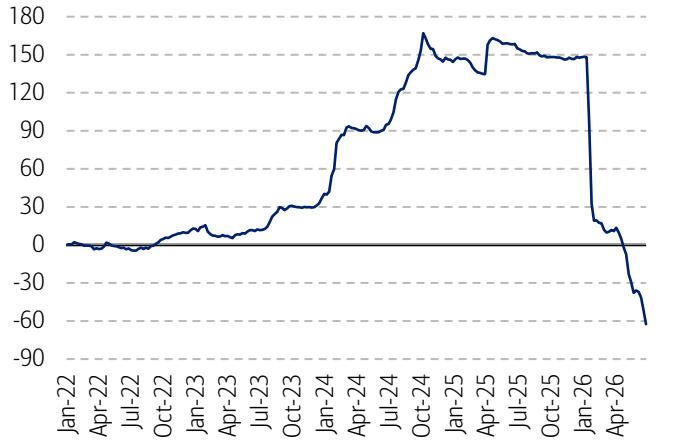
Exhibit 21: ETF selling by China's "national team" accelerates
Cumulative capital flows to China's domestic ETF funds (USD bn)



Source: EPFR

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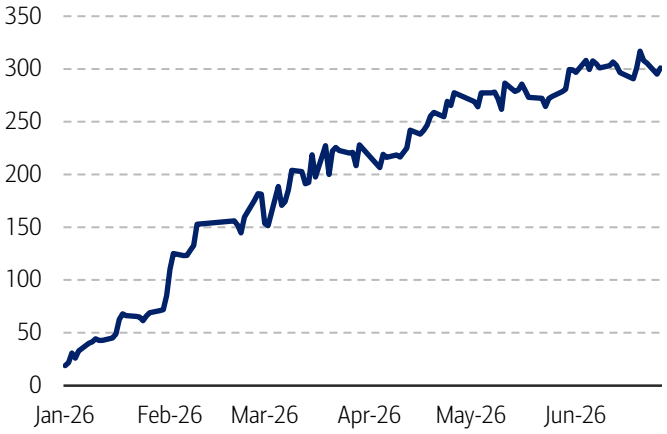
Hong Kong liquidity conditions remained challenging

Exhibit 22: Southbound capital flows to HK rebounded in June
Cumulative southbound capital flows to HK stocks since 2026 (HKD bn)



Source: WIND

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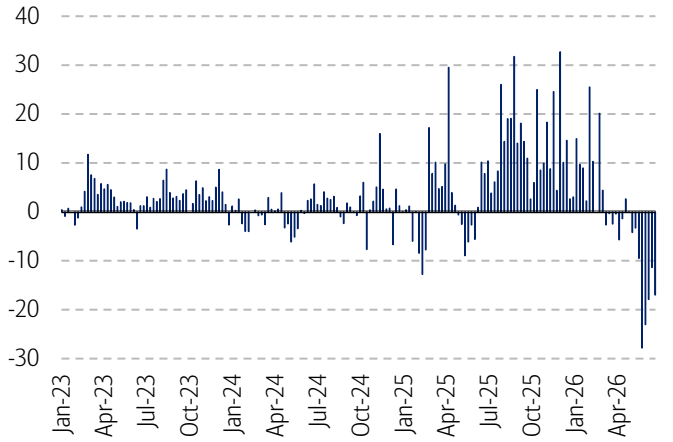
Exhibit 23: Mainland investors continue to exit HK ETFs at a fast pace
Changes in shares of HK equity ETFs listed in China mainland (bn shares)



Source: WIND

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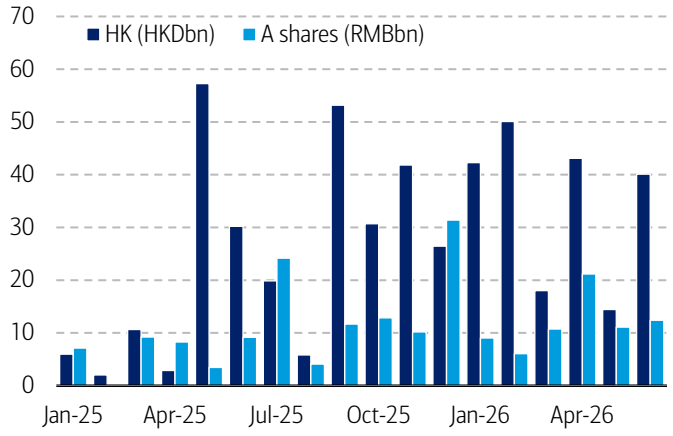
Hong Kong saw a modest improvement in capital flows, but liquidity conditions remained challenging. Corporate buybacks rose from HKD22.0bn in May to HKD30.2bn in June, the highest monthly level since September 2024, while southbound flows also turned positive at HKD27.1bn after modest outflows in May. However, June inflows were still the third-lowest monthly reading since Mar-2024. Meanwhile, the rotation from Hong Kong equities into A-share persisted, as reflected in continued net redemptions from mainland-listed HK equity ETFs. Although the pace of redemptions eased from the record levels in May, they remain a headwind to Hong Kong market liquidity.

On the capital demand side, IPO financing value rebounded from HKD14.4bn in May to ~HKD40bn in June. Meanwhile, post-IPO lock-up expirations will remain an overhang in 3Q26. Following the recent market pullback, the projected value of restricted share due to unlock in July has declined from ~HKD270bn in our late-May update to ~HKD200bn (primarily driven by MiniMax and Zhipu). Even so, the scale of upcoming unlocks could continue to weigh on market liquidity, in our view. Looking ahead, the value of lock-up expiries is projected to rise further to ~HKD280bn in September.

Exhibit 24: IPO financing value in HK rebounded in June
IPO financing value in HK (HKD bn) and A-share market (RMB bn)



Source: WIND

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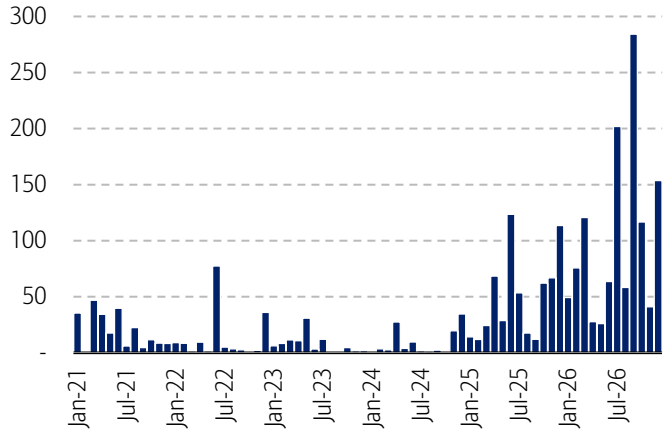
Exhibit 25: Restricted stock unlocks in HK expected to surge in 3Q26
Monthly amount of lock-up expiration in HKEX (HKD bn)



Source: WIND

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Liquidity dashboard

The liquidity dashboard below compiles fund flow data alongside indicators from both the capital supply and demand sides, with green/amber/red arrow denoting movements that are supportive/neutral/adverse to secondary market liquidity.

Exhibit 26: Hong Kong liquidity conditions show marginal MoM improvement, but are yet to turn supportive
A-share and Hong Kong market liquidity dashboard

	A-share market	Jun-26	May-26	Impact	Hong Kong	Jun-26	May-26	Impact
Overall	Average daily trading value (RMB bn)	3,114.4	3,182.5	▶	Average daily trading value (HKD bn)	319.0	292.8	▲
	Margin trading as % of market turnover	9.9%	10.1%	▶				
Capital Supply	New mutual fund issuances (bn)	67.4	70.1	▶	Shares buyback (HKD bn)	30.2	22.0	▲
	Shares buyback (RMB bn)	16.3	17.1	▶	Southbound capital flows (HKD bn)	27.1	-3.6	▲
	Northbound trading as % of turnover	6.4%	6.2%	▶				
	4-week China equity fund flows (USD mn)	-523.1	347.4	▼	4-week China equity fund flows (USD mn)	347.8	587.5	▼
Capital Demand	IPO financing (RMB bn)	12.4	11.1	▼	IPO financing (HKD bn)	40.1	14.4	▼
	Lock-up expirations (RMB bn)	339.4	192.3	▼	Lock-up expirations (HKD bn)	63.6	26.1	▼
	Share reductions by major shareholders (RMB bn)	37.8	49.3	▲				

Source: WIND, EPFR.
Note: ▲/▶/▼ denote whether an indicator's movement is supportive, neutral, adverse to market liquidity relative to the previous month. A ▲ is assigned when the MoM change is supportive to liquidity — specifically, a >5% increase in overall/capital supply indicator or a >5% decline in capital demand indicator. A ▼ is assigned when the MoM change is adverse to liquidity— a >5% decline in overall/capital supply indicator or a >5% increase in capital demand indicator. A ▶ is assigned when the MoM change falls within ±5%.

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Macro: export-led, uneven growth

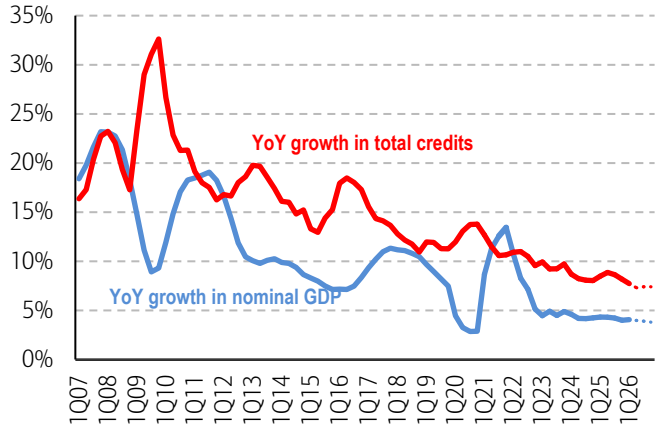
China Investment Compass (CIM) swayed between the C1/recovering and the C4/ stimulating phases in 2H24-1Q26, as nominal GDP growth fluctuated around 4.0-4.3%, while monetary policy remained loose. In 2H26, we expect nominal GDP growth to soften modestly, with CIM likely remaining in the C4 phase. Policymakers are likely to prioritize quality growth, self-sufficiency, and continued technological upgrading, rather than resorting to large-scale stimulus measures. As a result, we believe China will remain a stock pickers' market, with alpha generation outweighing beta-driven returns.

Credit and nominal GDP growth will further soften in 2H26

Our forecast of the nominal GDP growth trajectory is based on the credit growth multiplier. As discussed in our earlier reports, China's credit/GDP growth multiplier has been a strong driver and leading indicator to the sequential change in nominal GDP growth. Based on the past experience, the credit multiplier needs to be 1.5-2x for the GDP growth to be sequentially stable (ie flattish QoQ). Over 2.5x multiplier is considered "strong stimulus", while under 1.5x means "over-tightening".

China's real GDP growth remained stable at 5.0% YoY in 1Q26, while nominal GDP growth edged up from 4.0% in 2025 to 4.1% in 1Q26. Total credit growth declined from 8.2% in 2025 to 7.7% in 1Q26, and further to 7.4% in May. Credit growth/GDP growth multiplier softened from >2x in 2H25 to 1.9x in 1Q26, still insufficient to drive a meaningful GDP growth recovery. We continue to expect credit and GDP growth to both edge down modestly in 2026.

Exhibit 27: We expect credit and GDP growth to edge down in 2026E
China's credit growth cycle leads GDP growth



Source: PBOC, CEIC

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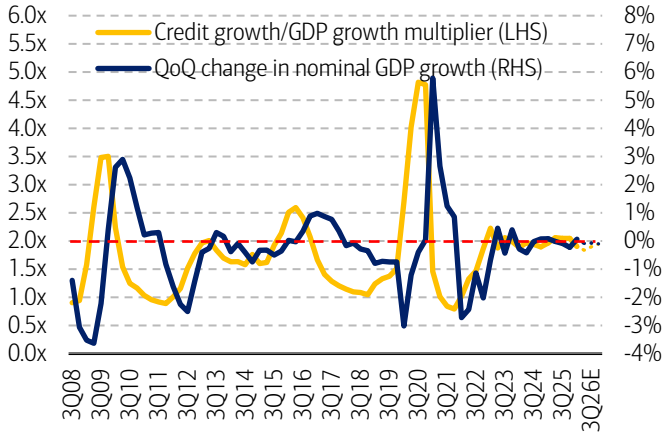
Exhibit 28: Credit multiplier edged down to <2x in 1H26
Credit growth multiplier leads sequential GDP growth



Source: PBOC, CEIC

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Bank sector loan growth declined from 7.0%/6.2% YoY in 2024/2025 to 5.7% in 1Q26, and further down to 5.5% in May, alongside weak domestic demand. Growth of credit bonds dropped from 12.5% YoY in Dec-21 to 2.2% in Dec-23 and rebounded to 7.4% in May-26. Growth of government bonds outstanding rebounded from 13.5% YoY in Dec-24 to 18.2% in Jul-25, but eased to 12.5% in May-26.

Household loan growth slowed from 15-25% YoY in previous years to only -0.9% in May-26, while household deposit growth remained resilient at 7.5% YoY by May-26.

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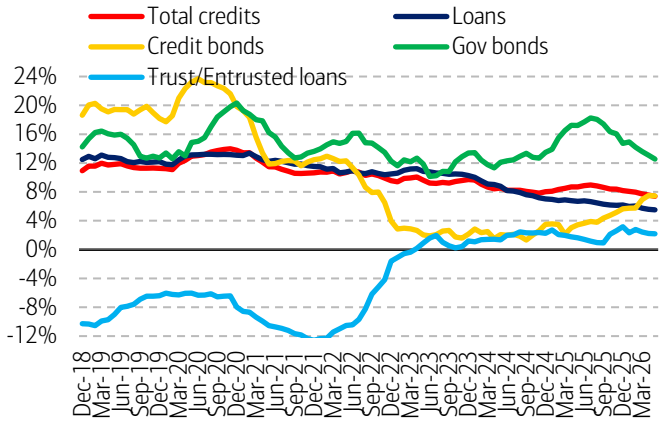
Exhibit 29: Loan growth declined to a record low of 5.5% YoY in May
YoY growth of various types of financing



Source: PBOC, CEIC

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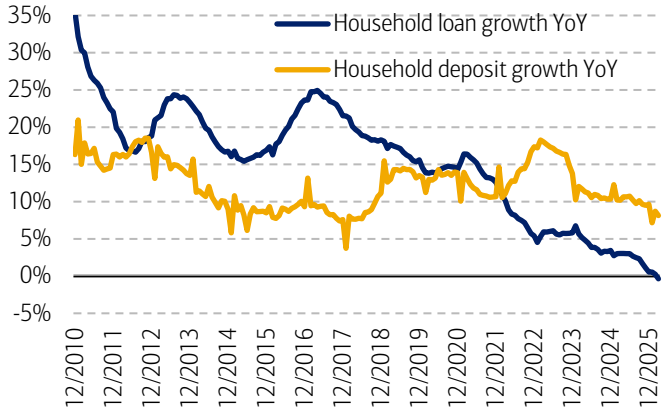
Exhibit 30: Retail loan growth dropped to -0.9% YoY in May-26
YoY household loan and deposit growth



Source: PBOC, CEIC

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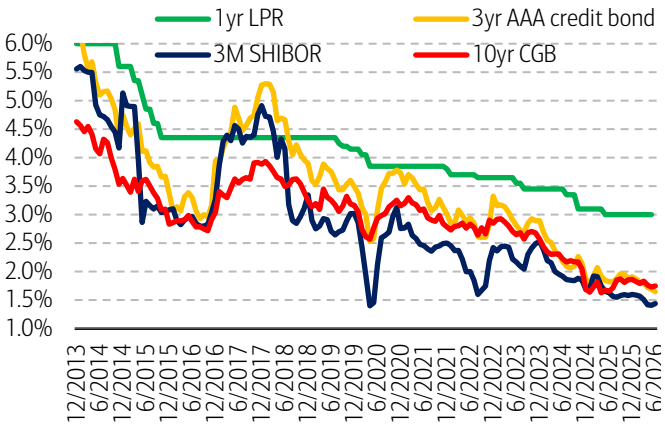
Limited prospect of rate cuts

1-year and 5-year Loan Prime Rate (LPR) have been stable since May 2025. Interbank liquidity has been abundant. 3mth SHIBOR declined from 1.9% in Oct-2024 to 1.6% in Dec-25 and further to 1.4% in Jun-2026. Bond yields rebounded in 2H25, partly due to the fund flow out of bonds into equities and the levy of value-added-tax. 10yr CGB yield dropped from 2.2% in Sep-24 to 1.6% in Apr-25, and recovered to 1.9% in Dec-25, before edging down to 1.7% in Jun-2026. Yield on 3yr AAA-rated credit bond declined modestly from 2.1% in Nov-24 to 1.9% in end 2025, and further to 1.7% in Jun-26.

Over the past five years, 1yr/5yr LPR has been cut by 85bp/115bp, while major banks' 1yr/3yr time deposit pricing has been reduced by 80/150bp cumulatively. However, the effectiveness of monetary easing, in terms of boosting consumption, stabilizing property markets, and driving credit demand, has been limited. Given China bank sector's already thin margins and the need to safeguard financial stability, regulators appear reluctant to further cut LPRs this year.

Exhibit 31: SHIBOR and bond yields edged down 10-20bp in 1H26
China's policy rate, interbank rate and bond yields



Source: PBOC, CEIC

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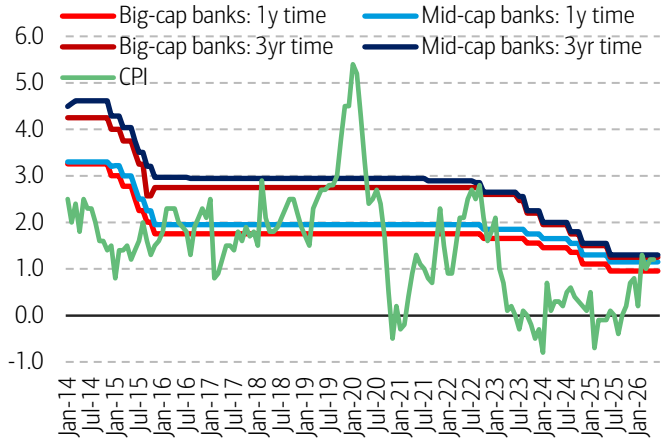
Exhibit 32: Deposit pricing has been cut more aggressively in 2024-25
Major banks' average time deposit pricing vs CPI (%)



Source: Company reports, NBS

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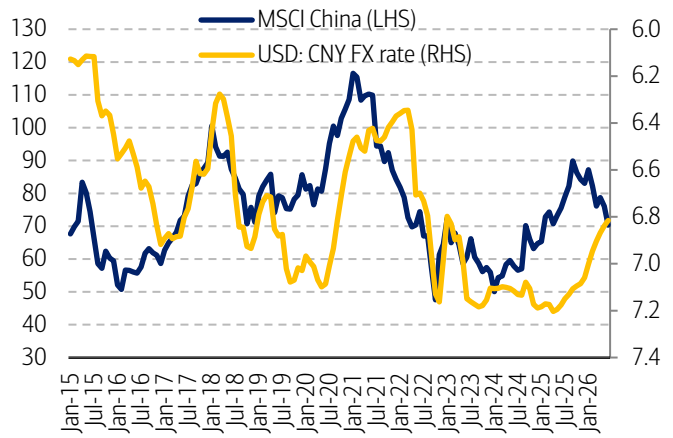
RMB: modest appreciation should be positive to RMB asset prices

RMB to USD exchange rate touched 7.2 in Apr/May 2025, amid the trade wars, but eased back to 7.1 by Dec-25 and 6.8 by Jun-26. Market consensus expects a modest RMB appreciation in 2026. China's FX reserve has also rebounded from USD3.0tn in Sep-2022 to USD3.4tn in May-2026, the highest level since 2016. RMB appreciation should be positive for RMB-dominated asset prices - for instance, China banks' dividend yield could become more attractive in USD terms.

Exhibit 33: MSCI China declined YTD despite the RMB appreciation
RMB-USD FX rate vs MSCI China Index



Source: Bloomberg

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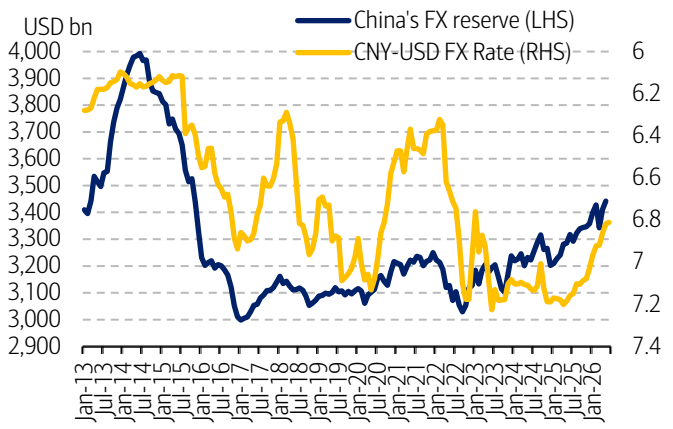
Exhibit 34: China FX reserve has risen to the highest level since 2016
China's FX rate and FX reserve



Source: CEIC

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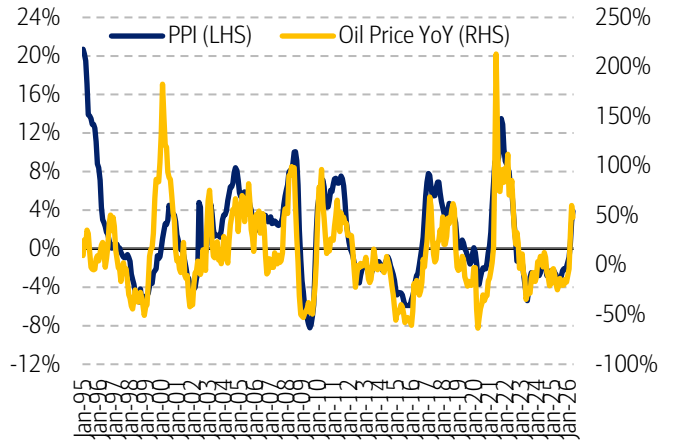
Energy prices, inflation and industrial profits

China's PPI exited a 41-month deflationary period in Mar-26, and accelerated to +3.9% by May, consistent with its historical correlation with oil prices. Industrial profit growth improved in tandem, moving from -3.3% in 2024 to +0.6% YoY in 2025, and accelerating further to +18.8% YoY in 5M26 - in line with our prior expectations.

However, sustainability of this reflationary trend and associated profit recovery is questionable. With oil prices retreating to around USD70 by now, the recent momentum is losing support.

Exhibit 35: Higher oil price has driven up China's inflation
China's PPI correlates with the movement in Brent oil price



Source: NBS, CEIC

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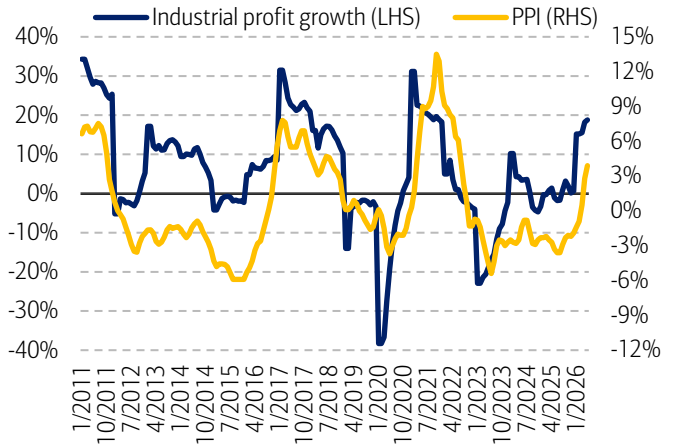
Exhibit 36: Industrial profit growth accelerated to 18.8% YoY in 5M26
Industrial profit growth (YTD) vs PPI inflation



Source: NBS

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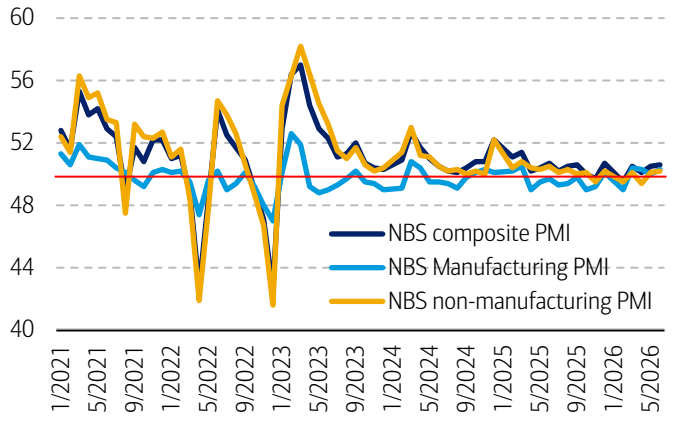
Other key things investors are watching

China's PMI readings hovered around the 50 threshold in recent months. Composite PMI dipped from 50.5 in Mar to 50.1 in Apr, before rebounding to 50.5 in May and 50.6 in Jun. Non-manufacturing PMI followed a similar pattern, falling to 49.4 in Apr, before rising to 50.2 by Jun. Manufacturing PMI declined from 50.4 to 50.0 over Mar-May, then recovered to 50.3 in Jun.

In the first five months of 2026, exports grew by 15.5% YoY in USD terms or 11.8% in RMB terms. Import growth was even stronger at 24.5%/20.5% in USD/RMB terms in 5M26. While the fast pace – partly attributed to the low base effect amid geopolitical risks (tariffs in Apr-2025) – is unlikely to sustain, the data nonetheless underscore resilience in China's trade.

Exhibit 37: NBS PMI hovered above 50 in May and Jun 2026
China Purchasing Managers' Index (PMI)



Source: NBS

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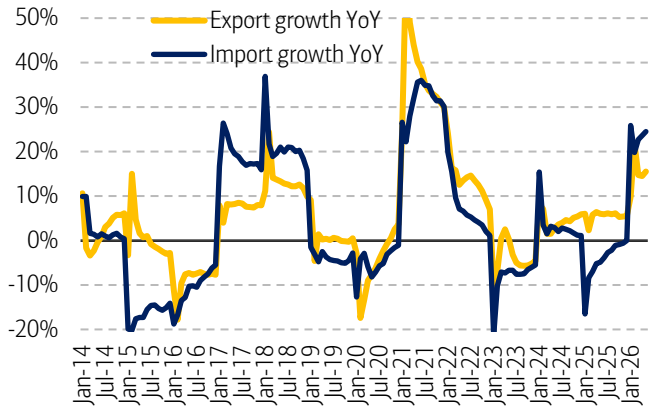
Exhibit 38: Exports growth was more than 15% YoY in 5M26
YoY growth in China YTD imports/exports in USD terms



Source: NBS

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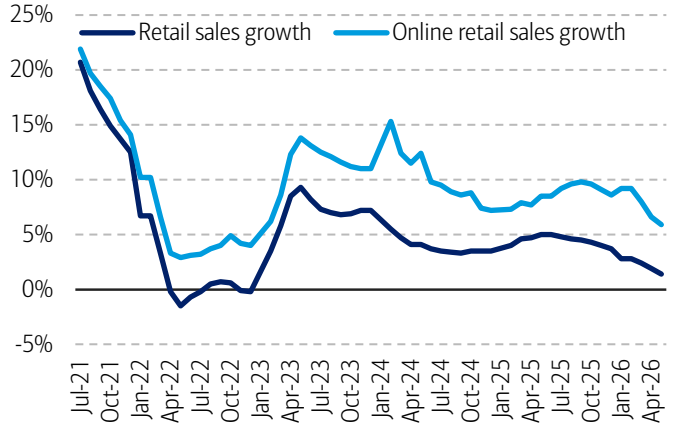
Growth of retail sales of consumer goods improved from 3.5% YoY in FY24 to 3.7% in 2025, but softened to 1.4% in 5M26. Online retail sales growth also rose from 7.2% YoY in FY24 to 8.6% in 2025, before slowing to 5.9% in 5M26. A high base effect in 5M25 and weak automobile sales were among key drivers of the slowdown.

Exhibit 39: Retail sales weakened swiftly in Apr-May
YoY growth in YTD retail sales and online retail sales



Source: NBS

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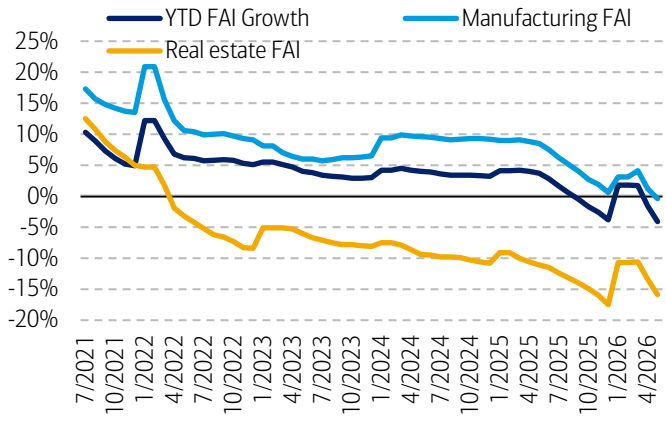
Exhibit 40: FAI growth fell to -4.1% YoY in 5M26
YoY growth in YTD Fixed Asset Investment



Source: NBS

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Fixed Asset Investment (FAI) growth slowed from 3-5% in the past few years to -3.8% YoY in 2025. The growth rebounded briefly in 2M26 but weakened again to -4.1% YoY in 5M26. The decline in property sector FAI widened from -10.8% YoY in 2024 to -17.5% in 2025, and stayed at -15.9% in 5M26. Growth in manufacturing sector FAI softened from 9.2% YoY in 2024 to only 0.6% in 2025, and further down to -0.4% in 5M26.

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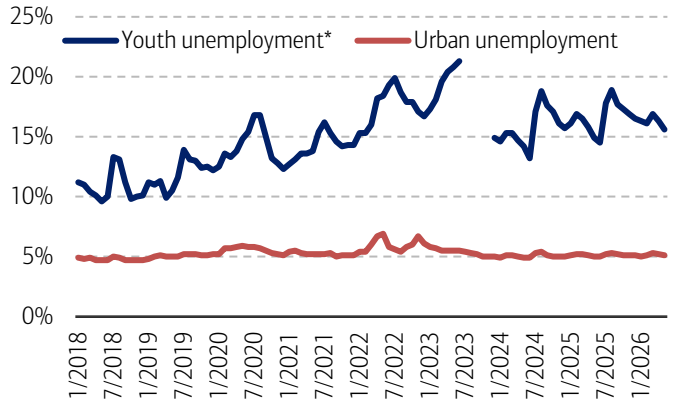
China's overall unemployment rate peaked at 6.7-6.9% in Apr-May 2022, during COVID disruptions, and has since remained broadly stable at about 5.0-5.2% in recent months. Youth unemployment rose to 18.9% in Aug-25, due to the seasonal effects from students graduating, and fell back to 15.6% in May-26 (vs 14.9% in May-25).

Consumer Confidence Index plunged during the Shanghai lockdown in Mar-2022, rebounded following the reopening between Nov-22 and Mar-23, and retreated again in 2Q23. Among the sub-indices, confidence in employment remained the weakest, while confidence in consumption willingness continued to improve. The overall indices rose modestly in 2M26, weakened again in Mar–Apr, and staged a mild recovery in May.

Exhibit 41: Youth unemployment at 15.6% in May-26 was slightly higher than May-25

China: overall unemployment and youth unemployment



Source: NBS *Scope of youth unemployment narrowed to exclude students after Dec-23

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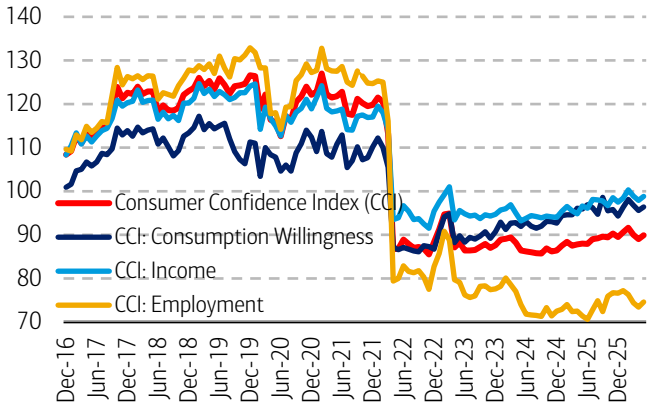
Exhibit 42: Consumer confidence indices declined in Mar-Apr before rebounding in May

China consumer confidence index (CCI)



Source: NBS

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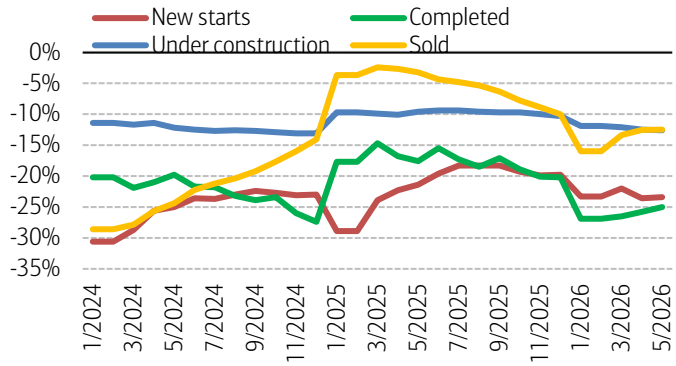
Property slump continued in 2026, with no major new policy easing. New home sales volume dropped 27%/17%/14%/10% YoY in 2022/23/24/25, and was down by 13% YoY in 5M26. New residential floor space starts, under construction, and completion continued to see double-digit YoY decline in 5M26. Residential property price declines narrowed in 4M26, but widened again in May. There was optimism on property "green shoots" and potential consumption spillover, while we are skeptical on the sustainability. That said, the sector's drag to GDP and financial stability should have become limited.

Exhibit 43: Property market saw continued double-digit YoY decline in activities in 2026 YTD

YoY change in residential floor space (in bn sqm)



Source: CEIC, NBS

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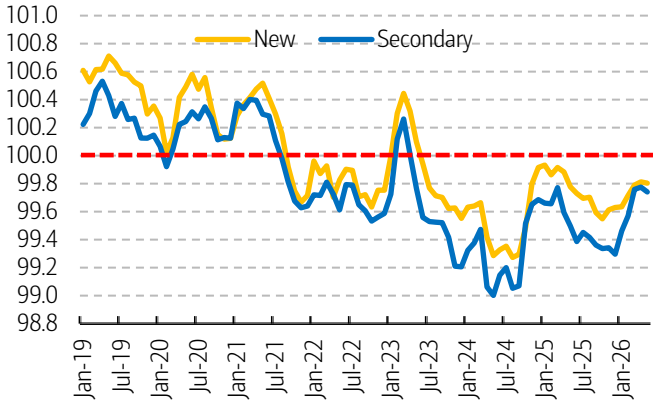
Exhibit 44: Property price decline narrowed in 1Q, but widened in May

Residential property price index (previous month = 100)



Source: NBS, CEIC

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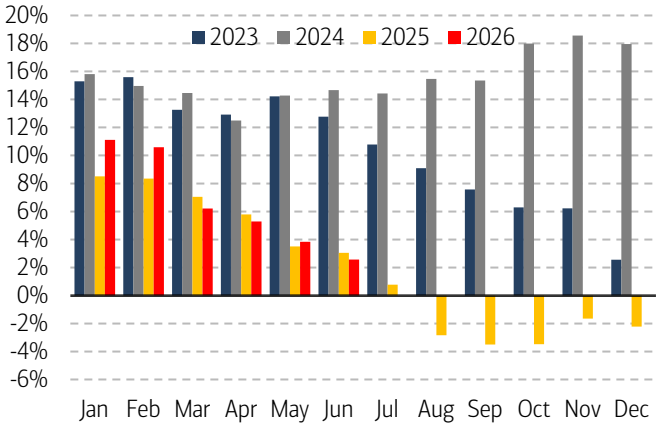
Earnings growth remains challenged

Consensus EPS growth forecast for MSCI China in 2026E has been cut from 11.4% YoY in Jan-26 to 2.6% in Jun-26, mainly driven by downgrades in internet-related sectors (media, online retail), auto, and consumer staples.

Exhibit 45: Consensus forecasts were cut from >11% in Jan to <3% now
Consensus forecast for MSCI China earnings growth



Source: MSCI, FactSet

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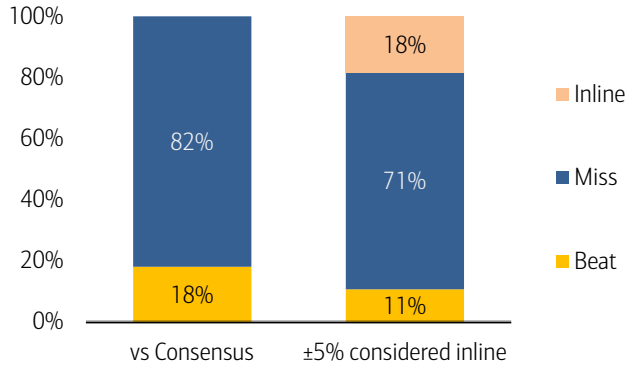
Exhibit 46: 71% companies missed earnings expectations by over 5% in annual results
FY25 results vs consensus estimates



Source: Bloomberg, Wind *Based on data of 3,358 A/H share listed companies

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Consensus expects earnings growth to accelerate to 24.2% YoY in FY2026E (18% in RMB terms + 6% FX gains), led by autos, materials, IT, financials and industrials. We are concerned about the potential downside risks in autos, real estate, materials, industrials, and IT sectors.

Exhibit 47: Consensus expects strong 2026E earnings growth in autos, materials, IT, and industrials sectors
MSCI China constituents' earnings analysis by sector

	Annual net profits (HKD bn)				Earnings revision Jun 30th vs Jan 1st		YoY Growth		As % of MSCI earnings		As % of earnings growth	
	2023	2024	2025	2026E	2025	2026E	2025	2026E	2025	2026E	2025	2026E
MSCI China	5,448	5,825	5,903	7,331	(553)	142	1.3%	24.2%	100%	100%	100%	100%
Communication Services	232	329	363	427	(25)	(15)	10.1%	17.6%	6.1%	5.8%	42.8%	4.5%
Media & Entertainment	212	308	340	400	(23)	(11)	10.5%	17.5%	5.8%	5.5%	41.4%	4.2%
Telecom	20	21	23	27	(2)	(3)	5.2%	18.0%	0.4%	0.4%	1.4%	0.3%
Consumer Discretionary	460	623	526	650	(60)	(100)	-15.7%	23.6%	8.9%	8.9%	-125.1%	8.7%
Auto & Components	67	87	87	150	(23)	(28)	0.1%	71.5%	1.5%	2.0%	0.1%	4.4%
Broadline Retail	214	309	235	264	(31)	(61)	-23.8%	12.4%	4.0%	3.6%	-94.2%	2.0%
Hotels Restaurants & Leisure	44	75	31	32	1	(10)	-59.3%	3.3%	0.5%	0.4%	-57.0%	0.1%
Household Durables	91	100	104	115	(8)	(4)	3.8%	11.2%	1.8%	1.6%	4.9%	0.8%
Others	44	53	69	89	(0)	4	31.2%	28.8%	1.2%	1.2%	21.1%	1.4%
Consumer Staples	230	281	243	288	(56)	(43)	-13.7%	18.7%	4.1%	3.9%	-49.5%	3.2%
Energy	426	388	337	461	(18)	82	-13.2%	36.8%	5.7%	6.3%	-65.5%	8.7%
Financials	2,673	2,874	3,090	3,333	(79)	112	7.5%	7.9%	52.4%	45.5%	276.7%	17.0%
Banks	2,267	2,274	2,306	2,507	(33)	99	1.4%	8.7%	39.1%	34.2%	42.0%	14.0%
Insurance	250	419	532	523	(8)	14	26.9%	-1.7%	9.0%	7.1%	144.4%	-0.6%
Financial Services	156	181	252	303	(38)	(1)	38.9%	20.4%	4.3%	4.1%	90.3%	3.6%
Health Care	114	135	108	161	(39)	(6)	-20.2%	49.1%	1.8%	2.2%	-35.0%	3.7%
Industrials	518	565	548	714	(86)	4	-3.0%	30.3%	9.3%	9.7%	-21.5%	11.6%
Information Technology	239	171	220	461	(59)	(1)	28.8%	109.3%	3.7%	6.3%	63.2%	16.9%
Semis & Semi Equip	99	(9)	(11)	74	(25)	(13)			-0.2%	1.0%	-2.9%	6.0%
Software & Services	(5)	11	0.0	14	(6)	3	-99.7%	39613%	0.0%	0.2%	-13.6%	1.0%
Tech Hardware & Equipment	145	169	232	373	(28)	10	36.7%	61.1%	3.9%	5.1%	79.8%	9.9%
Materials	258	249	325	602	(34)	148	30.4%	85.3%	5.5%	8.2%	97.0%	19.4%
Real Estate	128	27	(39)	45	(86)	(25)			-0.7%	0.6%	-84.2%	5.9%
Utilities	169	181	182	190	(11)	(14)	0.4%	4.4%	3.1%	2.6%	1.0%	0.6%

Source: Bloomberg, MSCI, FactSet

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Sector model portfolio

3Q26: prefer brokers/industrials/tech to consumers/utilities

Our model portfolio for each quarter selects the Top-10 sectors to overweight and the Bottom-10 sectors to underweight. For 3Q26, we upgraded a few industrial sectors (incl. heavy machinery and electrical equipment) and tech hardware to the Top-10 list. We continue to like the communications equipment sector (eg Innolight and Eoptolink), which was one of the best-performing sectors in 2Q (+92% QoQ). In addition, we raise diversified financials into our Top-10 list, given brokers' strong 2Q earnings and a favorable IPO pipeline. We remain constructive on metals & mining (ex-gold), chemicals, and life sciences sectors. On the other hand, our model downgrade IPPs & renewables and liquors to the Bottom-10 list, reflecting their negative earnings revisions. We also remain cautious on the autos and gas & water utilities sectors, both among the worst-performers in 2Q, as well as the real estate, biotech, and household durables sectors.

Please refer to Valuation comp table for a full list of BofA recommendations.

Exhibit 48: We prefer brokers/industrials/tech sectors over consumers/utilities in 3Q26
China Investment Compass based model portfolio recommendation: 3Q26

#	Overweight Sectors	vs 2Q26	Underweight Sectors	vs 2Q26
1	FI- Diversified Financials	↑	UTL- Independent Power & Renewable	↓
2	MAT- Metals & Mining (ex. gold)	√	CS- Liquors	↓
3	MAT- Chemicals	√	CD- Auto	√
4	IND- Heavy Machinery	↑	COM- Telecom	√
5	IND- Electrical Equipment	↑	CD- Household Durables	√
6	IT- Communications Equipment	√	IND- Construction & Engineering	↓
7	IND- Airline, Logistics & Shipping	√	RE- Real Estate	√
8	IT- Technology Hardware	↑	HC- Biotechnology	√
9	COM- Interactive Entertainment	↑	UTL- Gas & Water Utilities	√
10	HC- Life Sciences Tools & Services	√	MAT- Construction Materials & Paper	↓

Source: BofA Global Research *√shows sectors on our OW/UW list last quarter; ↑ shows new upgrades, ↓ shows new downgrades
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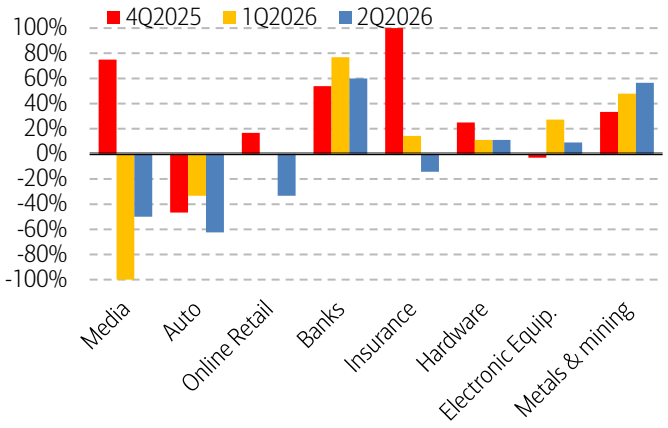
Key trends at the top-8 major sectors

Among the 40 sectors, the top-4 sectors with the largest market capitalization as of end-2025 were: banks (eg. Industrial & Commercial Bank of China), media & interactive media (eg. Tencent), online retail (eg. BABA), and electronic equipment (eg Foxconn Industrial Internet). In addition, insurance (eg China Life), auto (eg. BYD), tech hardware (eg Xiaomi), metal & mining (eg CMOC) sectors are among the top sectors with the highest MSCI China Index weighting. We will highlight the earnings and performance trends at these top-8 sectors.

Earnings momentum deteriorated overall in 2Q26, with only 2% of MSCI China constituents seeing net earnings upgrades, down from 13% in both 1Q26 and 4Q25. Banks and metals & mining (ex-gold) sectors outperformed, with 60% and 57% of companies receiving net earnings upgrades. By contrast, auto sector saw the most earnings downgrades, with 63% of companies recording net estimate cuts in 2Q. Media sector had another weak quarter, with 50% of companies seeing earnings downgrades in 2Q, following 100% earnings downgrades in 1Q26. Online retail sector also saw earnings deteriorate, with 33% of companies recording earnings downgrades vs 0% in 1Q26.

The top-8 sectors showed sharply diverging performance in 2Q26, while the MSCI China's gross total return was -7% QoQ. Electronic equipment sector rallied 66% and tech hardware rose 25%, whereas autos and online retail sectors dropped 20-30% QoQ. Banks and insurance also declined 6-7% QoQ. Market attention is heavily concentrated on AI- and tech hardware-related themes, while most other sectors broadly underperformed.

Exhibit 49: Media and auto sectors had the worst earnings cut in 2Q, banks and metals & mining had the best upward revision
Percentage of companies that had net earnings upgrade



Source: Bloomberg

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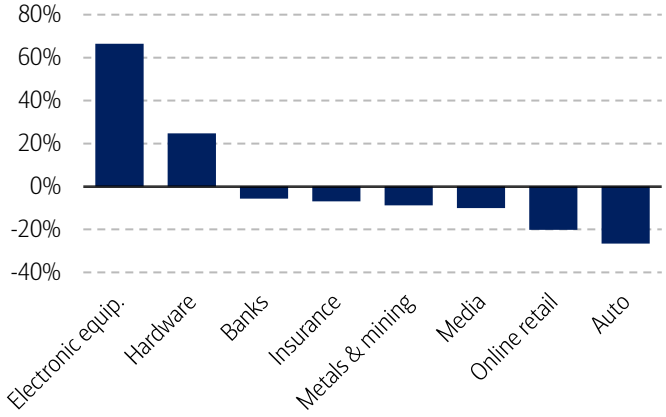
Exhibit 50: Auto and online retail sectors dropped 20-30% in 2Q26, while electronic equipment sector rallied 66%
2Q26 performance of the key sectors



Source: Bloomberg

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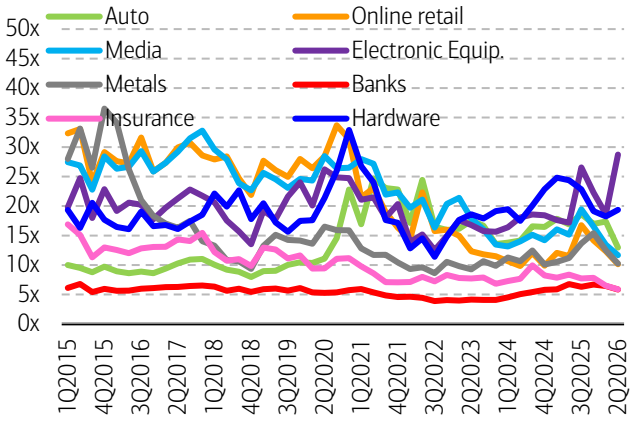
P/E valuations declined across most sectors in 2Q26, with the notable exception of electronic equipment, where the sector P/E surged 54% QoQ to 28.7x. Auto sector's P/E fell 25% QoQ to 13.1x. Media sector saw another quarter of sharp de-rating, with its P/E declining 13% QoQ to a historical low level of 11.7x. Online retail sector's P/E dropped 18% QoQ to 10.1x, also close to the trough levels seen in 2Q24 and 4Q24.

Electronic equipment sector currently appears relatively expensive, trading at 2.5 standard deviations above its long-term average valuation (vs. 0.3 in 1Q26). Hardware, autos, and banks are trading broadly in line with their long-term averages. By contrast, internet-related sectors (media and online retail) and insurance have become even cheaper, trading at 1.0-1.8 standard deviations below their long-term average valuations (vs. 0.9-1.6 below in 1Q26).

Exhibit 51: Valuation declined at most sectors in 2Q26, except for electronic equipment
Forward P/E valuations



Source: Bloomberg

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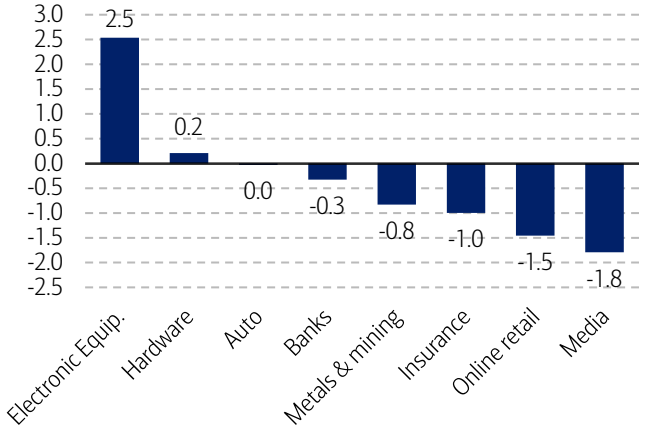
Exhibit 52: Electronic equipment is expensive compared to its long-term average valuation
Valuation vs the long-term mean (standard deviation)



Source: Bloomberg

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Appendix

China Investment Compass (中国投资罗盘)

We believe that China equity markets' performance is driven by the macroeconomic cycle and the monetary policy cycle. Our China Investment Compass defines the past 19 years, since 1Q2007, into four different phases:

- C1: recovering phase, with accelerating GDP growth and loose interbank liquidity;
- C2: peaking phase, with accelerating growth and tight liquidity;
- C3: over-tightening phase, with decelerating growth and tight liquidity; and
- C4: stimulating phase, with decelerating growth and loose liquidity.

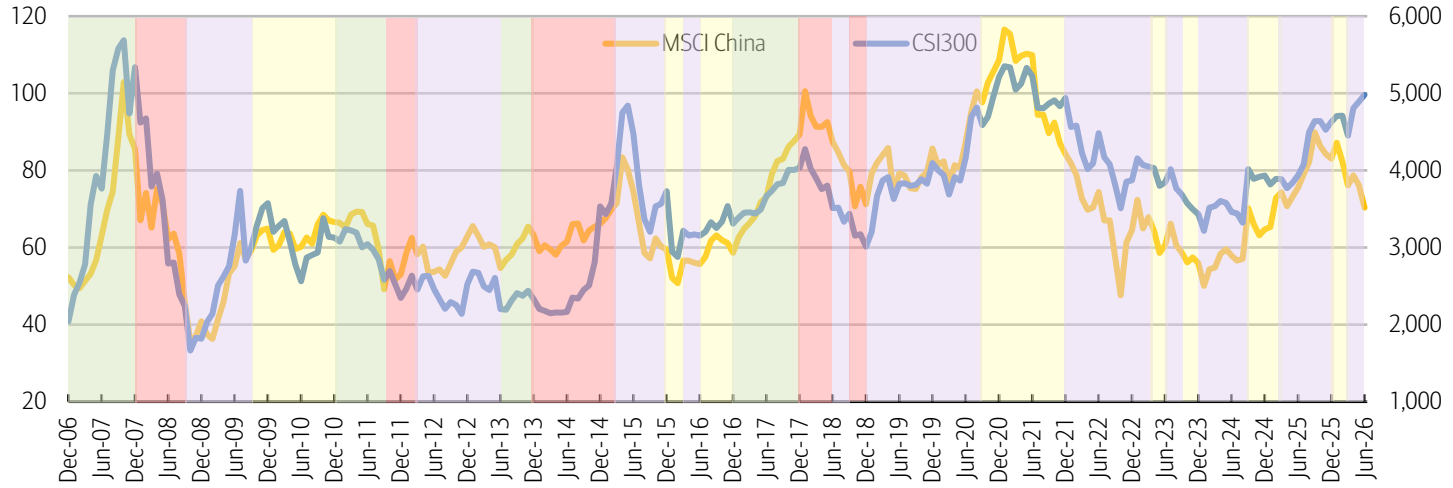
China's equity market typically has low beta with flattish return in the C1/recovering phase, while the commodity market is usually strong. The C2/peaking phase is typically a bull market, and the C3/over-tightening phase tends to be a bear market. The C4/stimulating phase is the more volatile times.

Methodology and input factors

Growth is defined as the sequential change in YoY nominal GDP growth (past four quarters cumulative). For instance, if nominal GDP grew by 10% YoY in the last quarter, and 9.5% in the current quarter, the sequential change is -0.5ppt, and it is considered as "growth decelerating".

Liquidity is calculated based on the quarterly average interbank deposit spread, using 3-month SHIBOR minus 3-month time deposit rate. Deposit spread above 2% is considered "tight liquidity", and below 2% is considered "loose".

Exhibit 53: BofA China Investment Compass and historical stock market performance
Each phase in our Compass typically lasts for 2-5 quarters



Source: Bloomberg, MSCI *Color coding: C1 = yellow, C2 = green, C3 = red, C4 = purple

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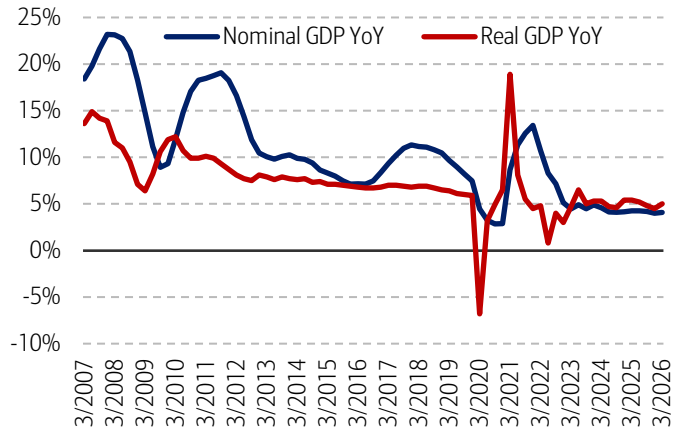
MSCI China performance correlated to GDP and liquidity cycles

Stock market performance is partly guided by GDP growth and liquidity cycles, with GDP growth driving earnings and liquidity driving P/E multiples.

China's equity market tends to do well when GDP growth accelerates sequentially and suffers when economy decelerates. In fact, stock market performance tends to lead the GDP performance by 6-12 months. As corporate earnings cycle usually moves in sync with GDP cycle, higher GDP growth and higher earnings can drive market price higher, even without multiple expansion.

Exhibit 54: Economic growth: YoY growth in nominal and real GDP
Nominal GDP growth has decelerated over the past 19 years



Source: CEIC

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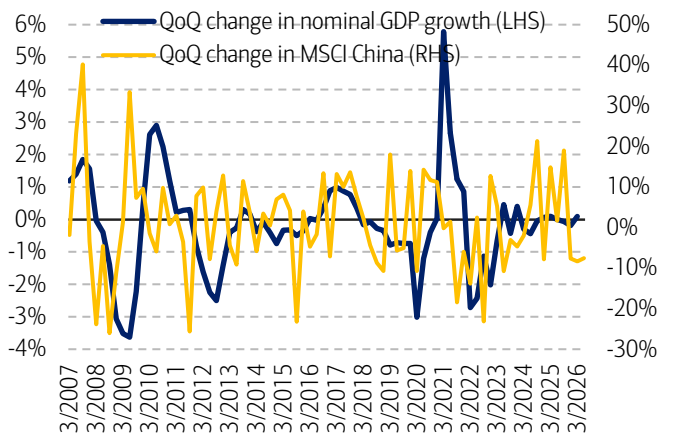
Exhibit 55: Sequential change in nominal GDP growth vs MSCI China
MSCI China performance has positive correlation to GDP growth



Source: Bloomberg, CEIC, MSCI

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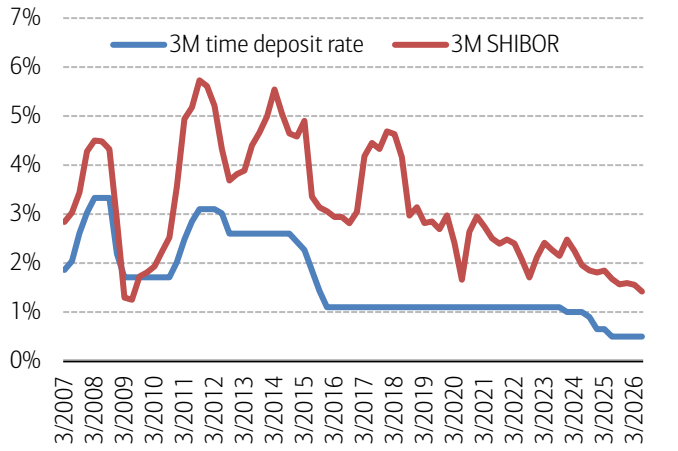
Liquidity and monetary policy also impact stock market performance. Monetary tightening can help contain debt leverage and asset price bubbles, and is positive for the long-term health of China's financial system. In the past, China's stock market enjoyed some of the best performance during the C2/peaking phase, with the combination of policy tightening and accelerating growth, eg. 2007 and 2017. On the other side, when GDP growth decelerates, liquidity easing can also help drive strong market performance (eg. in 2H11, 2020). Rich liquidity reduces the cost of capital, and can drive up P/E multiples, so that market can do well in easing phases, without earnings growth.

Exhibit 56: Interbank liquidity: SHIBOR vs time deposit rate
Deposit spread = 3M SHIBOR – 3M time deposit rate



Source: Bloomberg, CEIC

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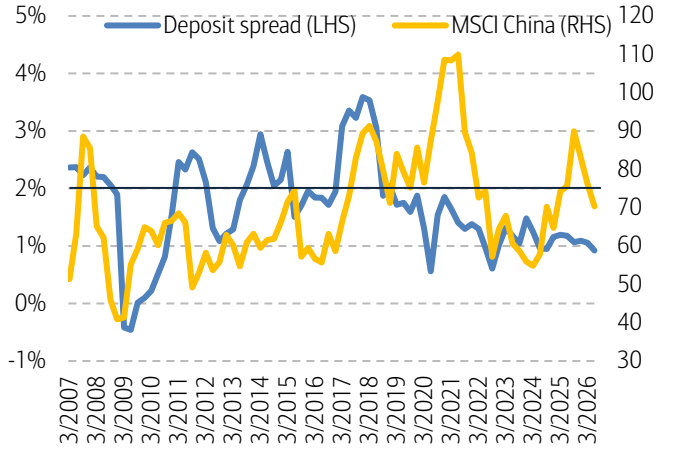
Exhibit 57: Interbank deposit spread vs MSCI China
MSCI China performance has positive correlation to interbank liquidity



Source: CEIC, MSCI ^As SHIBOR was only introduced in 4Q16 and less representative in the early days, we adjusted SHIBOR during 2007-08 with benchmark loan rate

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Sector classification

Our China strategy initiation report introduced a 40-sector framework, composed of MSCI China constituent stocks. Our model portfolio sector selection is based on this 40-sector classification. We updated the sector classification in Jan-2022, merged Education into Internet & Direct Marketing Retailing sector, and split Auto & Auto Components into 2 sectors.

Exhibit 58: BofA breakdown of 40 sectors and their major large-cap stocks

Our sector analysis is based on the 40-sector breakdown

BofA Sector	# of Co.	Mkt cap*	Major large-cap stocks as examples		
Communications Services					
COM- Interactive Entertainment	4	113	NetEase (NTES US/9999 HK)	Giant Network (002558 CH)	Wuhu Sanqi Interactive (002555 CH)
COM- Media & Interactive Media	8	809	Tencent (700 HK)	Baidu (BIDU US/9888 HK)	Kuaishou (1024 HK)
COM- Movies & Entertainment	5	50	Tencent Music (TME US/1698 HK)	Enlight Media (300251 CH)	Mango Excellent Media (300413 CH)
COM- Telecom	5	288	China Mobile (941 HK/600941 CH)	China Unicom (762 HK/600050 CH)	China Telecom (728 HK/601728 CH)
Consumer Discretionary					
CD- Apparel & footwear	5	65	ANTA (2020 HK)	Laopu Gold (6181 HK)	Shenzhou (2313 HK)
CD- Auto	16	335	BYD (1211 HK/002594 CH)	Seres (9927 HK/601127 CH)	SAIC Motor (600104 CH)
CD- Auto Components	8	322	CATL (3750 HK/300750 CH)	Fuyao Glass (3606 HK/600660 CH)	Ningbo Tuopu (601689 CH)
CD- Hotels, Restaurants & Leisure	5	84	CTG Duty Free (1880 HK/601888 CH)	Yum China (YUMC US/9987 HK)	Chow Tai Fook (1929 HK)
CD- Household Durables	6	168	Midea (300 HK/000333 CH)	Gree Electric (000651 CH)	Haier Smart Home (6690 HK/600690 CH)
CD- Internet & Direct Marketing Retail	13	759	Alibaba (BABA US/9988 HK)	Pinduoduo (PDD US)	Meituan (3690 HK)
Consumer Staples					
CS- Food & Personal Products	18	251	Muyuan (002714 CH)	Nongfu Spring (9633 HK)	Haitian (3288 HK/603288 CH)
CS- Liquors	10	414	Kweichow Moutai (600519 CH)	Wuliangye Yibin (000858 CH)	Shanxi Fen Wine (600809 CH)
Energy					
EG- Coal & Consumable Fuels	8	185	China Shenhua (1088 HK/601088 CH)	Shaanxi Coal (601225 CH)	Yankuang Energy (1171 HK/600188 CH)
EG- Oil & Gas	6	502	PetroChina (857 HK/601857 CH)	CNOOC (883 HK/600938 CH)	Sinopec (386 HK/600028 CH)
Financials					
FI- Banks	27	2,063	ICBC (1398 HK/601398 CH)	ABC (1288 HK/601288 CH)	CCB (939 HK/601939 CH)
FI- Diversified Financials	36	513	East Money (300059 CH)	CITICS (6030 HK/600030 CH)	Guotai Haitong (2611 HK/601211 CH)
FI- Insurance	7	486	China Life Insurance (2628 HK/601628 CH)	Ping An Insurance (2318 HK/601318 CH)	PICC (1339 HK/601319 CH)
Healthcare					
HC- Biotechnology	12	116	BeOne (ONC US/6160 HK/688235 CH)	Innovent (1801 HK)	Akeso (9926 HK)
HC- Health Care Equipment & Services	13	141	Mindray (300760 CH)	JD Health (6618 HK)	United Imaging (688271 CH)
HC- Life Sciences Tools & Services	7	86	WuXi AppTec (2359 HK/603259 CH)	Wuxi Biologics (2269 HK)	WuXi XDC (2268 HK)
HC- Pharmaceuticals	17	226	Hengrui Medicine (1276 HK/600276 CH)	Hansoh (3692 HK)	Biokin (688506 CH)
Industrials					
IND- Aerospace & Defense	4	50	Kuang-Chi (002625 CH)	AECC Aviation Power (600893 CH)	China Spacesat (600118 CH)
IND- Airline, Logistics & Shipping	15	209	COSCO Shipping (1919 HK/601919 CH)	SF (6936 HK/002352 CH)	Air China (753 HK/601111 CH)
IND- Conglomerate & Commercial Services	5	72	CITIC Limited (267 HK)	Kanzhun (BZ US/2076 HK)	BOC Aviation (2588 HK)
IND- Construction & Engineering	12	143	China State Construction (601668 CH)	China Railway (390 HK/601390 CH)	CCCC (1800 HK/601800 CH)
IND- Electrical Equipment	20	218	NARI (600406 CH)	EVE (300014 CH)	Huayou Cobalt (603799 CH)
IND- Heavy Machinery	16	283	CSSC (600150 CH)	Inovance (300124 CH)	Sany Heavy Industry (6031 HK/600031 CH)
IND- Transportation Infrastructure	6	69	Beijing-Shanghai HSR (601816 CH)	SHIA (600009 CH)	China Merchants Expressway (001965 CH)
Information Technology					
IT- Communications Equipment	6	220	Innolight (300308 CH)	Eoptolink (300502 CH)	ZTE (763 HK/000063 CH)
IT- Electronic Equipment & Components	34	671	Foxconn Industrial Internet (601138 CH)	Luxshare (002475 CH)	Hikvision (002415 CH)
IT- Semiconductors	33	563	Cambricon (688256 CH)	Hygon (688041 CH)	SMIC (981 HK/688981 CH)
IT- Software & Services	15	136	Kingsoft Office (688111 CH)	Iflytek (002230 CH)	Horizon Robotics (9660 HK)
IT- Technology Hardware	9	200	Xiaomi (1810 HK)	Lenovo (992 HK)	Longsys (301308 CH)
Materials					
MAT- Chemicals	23	299	Wanhua Chemical (600309 CH)	Salt Lake (000792 CH)	Hengli (600346 CH)
MAT- Construction Materials & Paper	4	35	Anhui Conch (914 HK/600585 CH)	China Jushi (600176 CH)	Sunpaper (002078 CH)
MAT- Gold	7	247	Zijin (2899 HK/601899 CH)	Zijin Gold Int'l (2259 HK)	Shandong Gold (1787 HK/600547 CH)
MAT- Metals & Mining (ex. gold)	25	384	CMOC (3993 HK/603993 CH)	China Hongqiao (1378 HK)	China Northern Rare Earth (600111 CH)
Real Estate					
RE- Real Estate	12	137	CR Land (1109 HK)	KE Holdings (BEKE US/2423 HK)	COLI (688 HK)
Utilities					
UTL- Gas & Water Utilities	7	50	ENN Energy (2688 HK)	ENN Natural Gas (600803 CH)	Kunlun Energy (135 HK)
UTL- Independent Power & Renewable	30	416	Yangtze Power (600900 CH)	Sungrow Power Supply (300274 CH)	CNNC (601985 CH)

Source: Bloomberg, BofA Global Research *Market cap in USD bn, as of Dec 31, 2025

BofA GLOBAL RESEARCH

Exhibit 59: Mapping our 40-sector classification with MSCI GICS

Our 40-sector classification is based on the sectors from MSCI's Global Industry Classification Standard (GICS)

Our 40-sector classification	GICS 1	GICS 2	GICS 3	GICS 4
COM- Interactive Entertainment	Communication Services	Media & Entertainment	Entertainment	Interactive Home Entertainment
COM- Movies & Entertainment	Communication Services	Media & Entertainment	Entertainment	Movies & Entertainment
COM- Media & Interactive Media	Communication Services	Media & Entertainment	Interactive Media & Services	Interactive Media & Services
			Media	Advertising
				Broadcasting
				Cable & Satellite
				Publishing
COM- Telecom	Communication Services	Telecommunication Services	Diversified Telecommunication Services	Alternative Carriers
				Integrated Telecommunication Services
			Wireless Telecommunication Services	Wireless Telecommunication Services
CD- Apparel & footwear	Consumer Discretionary	Consumer Durables & Apparel	Textiles, Apparel & Luxury Goods	Apparel, Accessories & Luxury Goods
				Footwear
				Textiles
CD- Auto Components	Consumer Discretionary	Automobiles & Components	Automobile Components	Automotive Parts & Equipment
				Tires & Rubber
CD- Auto	Consumer Discretionary	Automobiles & Components	Automobiles	Automobile Manufacturers
				Motorcycle Manufacturers
CD- Household Durables	Consumer Discretionary	Consumer Durables & Apparel	Household Durables	Consumer Electronics
				Home Furnishings
				Homebuilding
				Household Appliances
				Housewares & Specialties
CD- Hotels, Restaurants & Leisure	Consumer Discretionary	Consumer Durables & Apparel	Leisure Products	Leisure Products
		Consumer Services	Hotels, Restaurants & Leisure	Casinos & Gaming
				Hotels, Resorts & Cruise Lines
				Leisure Facilities
				Restaurants
CD- Internet & Direct Marketing Retail	Consumer Discretionary	Consumer Discretionary Distribution & Retail	Broadline Retail	Broadline Retail
			Distributors	Distributors
			Specialty Retail	Apparel Retail
				Automotive Retail
				Computer & Electronics Retail
				Home Improvement Retail
				Homefurnishing Retail
				Other Specialty Retail
		Consumer Services	Diversified Consumer Services	Education Services
CS- Food & Personal Products	Consumer Staples	Consumer Staples Distribution & Retail	Consumer Staples Distribution & Retail	Consumer Staples Merchandise Retail
				Drug Retail
				Food Distributors
				Food Retail
		Food, Beverage & Tobacco	Beverages	Soft Drinks & Non-alcoholic Beverages
			Food Products	Agricultural Products & Services
				Packaged Foods & Meats
			Tobacco	Tobacco
		Household & Personal Products	Household Products	Household Products
			Personal Care Products	Personal Care Products
CS- Liquors	Consumer Staples	Food, Beverage & Tobacco	Beverages	Brewers
				Distillers & Vintners
EG- Oil & Gas	Energy	Energy	Energy Equipment & Services	Oil & Gas Drilling
				Oil & Gas Equipment & Services
			Oil, Gas & Consumable Fuels	Integrated Oil & Gas
				Oil & Gas Exploration & Production
				Oil & Gas Refining & Marketing
				Oil & Gas Storage & Transportation
EG- Coal & Consumable Fuels	Energy	Energy	Oil, Gas & Consumable Fuels	Coal & Consumable Fuels
FI- Banks	Financials	Banks	Banks	Diversified Banks
				Regional Banks
FI- Diversified Financials	Financials	Financial Services	Capital Markets	Asset Management & Custody Banks
				Diversified Capital Markets
				Financial Exchanges & Data
				Investment Banking & Brokerage
			Consumer Finance	Consumer Finance
			Financial Services	Commercial & Residential Mortgage Finance
				Diversified Financial Services
				Multi-Sector Holdings
				Specialized Finance
				Transaction & Payment Processing Services

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Exhibit 59: Mapping our 40-sector classification with MSCI GICS

Our 40-sector classification is based on the sectors from MSCI's Global Industry Classification Standard (GICS)

Our 40-sector classification	GICS 1	GICS 2	GICS 3	GICS 4
			Mortgage Real Estate Investment Trusts (REITs)	Mortgage REITs
FI- Insurance	Financials	Insurance	Insurance	Insurance Brokers
				Life & Health Insurance
				Multi-line Insurance
				Property & Casualty Insurance
				Reinsurance
HC- Health Care Equipment & Services	Health Care	Health Care Equipment & Services	Health Care Equipment & Supplies	Health Care Equipment
				Health Care Supplies
			Health Care Providers & Services	Health Care Distributors
				Health Care Facilities
				Health Care Services
				Managed Health Care
			Health Care Technology	Health Care Technology
HC- Biotechnology	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	Biotechnology	Biotechnology
HC- Life Sciences Tools & Services	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	Life Sciences Tools & Services	Life Sciences Tools & Services
HC- Pharmaceuticals	Health Care	Pharmaceuticals, Biotechnology & Life Sciences	Pharmaceuticals	Pharmaceuticals
IND- Aerospace & Defense	Industrials	Capital Goods	Aerospace & Defense	Aerospace & Defense
IND- Construction & Engineering	Industrials	Capital Goods	Building Products	Building Products
			Construction & Engineering	Construction & Engineering
IND- Electrical Equipment	Industrials	Capital Goods	Electrical Equipment	Electrical Components & Equipment
				Heavy Electrical Equipment
IND- Conglomerate & Commercial Services	Industrials	Capital Goods	Industrial Conglomerates	Industrial Conglomerates
		Commercial & Professional Services	Commercial Services & Supplies	Commercial Printing
				Diversified Support Services
				Environmental & Facilities Services
				Office Services & Supplies
				Security & Alarm Services
			Professional Services	Human Resource & Employment Services
				Research & Consulting Services
IND- Heavy Machinery	Industrials	Capital Goods	Machinery	Agricultural & Farm Machinery
				Construction Machinery & Heavy Transportation Equipment
				Industrial Machinery & Supplies & Components
IND- Airline, Logistics & Shipping	Industrials	Transportation	Air Freight & Logistics	Air Freight & Logistics
			Ground Transportation	Cargo Ground Transportation
				Passenger Ground Transportation
				Rail Transportation
	Industrials	Transportation	Marine Transportation	Marine Transportation
			Passenger Airlines	Passenger Airlines
IND- Transportation Infrastructure	Industrials	Transportation	Transportation Infrastructure	Airport Services
				Highways & Railtracks
				Marine Ports & Services
IT- Semiconductors	Information Technology	Semiconductors & Semiconductor Equipment	Semiconductors & Semiconductor Equipment	Semiconductor Materials & Equipment
				Semiconductors
IT- Software & Services	Industrials	Commercial & Professional Services	Professional Services	Data Processing & Outsourced Services
	Information Technology	Software & Services	IT Services	Internet Services & Infrastructure
				IT Consulting & Other Services
			Software	Application Software
				Systems Software
IT- Communications Equipment	Information Technology	Technology Hardware & Equipment	Communications Equipment	Communications Equipment
IT- Electronic Equipment & Components	Information Technology	Technology Hardware & Equipment	Electronic Equipment, Instruments & Components	Electronic Components
				Electronic Equipment & Instruments
				Electronic Manufacturing Services
				Technology Distributors
IT- Technology Hardware	Information Technology	Technology Hardware & Equipment	Technology Hardware, Storage & Peripherals	Technology Hardware, Storage & Peripherals
MAT- Chemicals	Materials	Materials	Chemicals	Commodity Chemicals
				Diversified Chemicals
				Fertilizers & Agricultural Chemicals
				Industrial Gases
				Specialty Chemicals
MAT- Construction Materials & Paper	Materials	Materials	Construction Materials	Construction Materials
			Containers & Packaging	Metal, Glass & Plastic Containers
				Paper & Plastic Packaging Products & Materials
			Paper & Forest Products	Forest Products
				Paper Products
MAT- Metals & Mining (ex. gold)	Materials	Materials	Metals & Mining	Aluminum
				Copper

Exhibit 59: Mapping our 40-sector classification with MSCI GICS

Our 40-sector classification is based on the sectors from MSCI's Global Industry Classification Standard (GICS)

Our 40-sector classification	GICS 1	GICS 2	GICS 3	GICS 4
				Diversified Metals & Mining
				Precious Metals & Minerals
				Silver
				Steel
MAT- Gold	Materials	Materials	Metals & Mining	Gold
RE- Real Estate	Real Estate	Equity Real Estate Investment Trusts (REITs)	Diversified REITs	Diversified REITs
			Health Care REITs	Health Care REITs
			Hotel & Resort REITs	Hotel & Resort REITs
			Industrial REITs	Industrial REITs
			Office REITs	Office REITs
			Residential REITs	Multi-Family Residential REITs
				Single-Family Residential REITs
			Retail REITs	Retail REITs
			Specialized REITs	Data Center REITs
				Other Specialized REITs
				Self-Storage REITs
				Telecom Tower REITs
				Timber REITs
		Real Estate Management & Development	Real Estate Management & Development	Diversified Real Estate Activities
				Real Estate Development
				Real Estate Operating Companies
				Real Estate Services
UTL- Independent Power & Renewable	Utilities	Utilities	Electric Utilities	Electric Utilities
			Independent Power and Renewable Electricity Producers	Independent Power Producers & Energy Traders
				Renewable Electricity
			Multi-Utilities	Multi-Utilities
UTL- Gas & Water Utilities	Utilities	Utilities	Gas Utilities	Gas Utilities
			Water Utilities	Water Utilities

Source: MSCI, BofA Global Research

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Valuation comp table

Exhibit 60: By end of 2Q26, our China research team rates 64% of the coverage at Buy, 22% at Neutral, and 13% at Underperform

Valuation table for BofA Global Research China coverage universe (as of Jun 30, 2026)

Company	Ticker	PX (Local) 30-Jun	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	PE (x) 26E	PE (x) 27E	EPS Growth (%) 26E	EPS Growth (%) 27E	PB (x) 26E	PB (x) 27E	Divi Yield (%) 26E	Divi Yield (%) 27E	ROE (%) 26E	ROE (%) 27E	Analyst
COM- Interactive Entertainment																			
NetEase	NTES US	128.1	81.8	Buy	4.9	15.1	-5.4	-2.5	13.2	12.5	14	6	3.0	2.6	2.1	2.3	23.8	21.7	Liu, Alex
NetEase	9999 HK	202.4	82.3	Buy	4.9	19.4	-4.2	-1.7	13.2	12.5	14	6	3.0	2.6	2.1	2.3	23.8	21.7	Liu, Alex
COM- Media & Interactive Media																			
Autohome	ATHM US	19.0	2.2	Neutral	9.0	9.6	-14.5	-20.5	14.8	13.8	-34	8	0.7	0.8	9.9	9.9	4.8	5.7	Zhuang, Miranda
Autohome	2518 HK	34.4	2.0	Neutral	6.7	5.2	-17.0	-22.3	14.8	13.8	-34	8	0.7	0.8	9.9	9.9	4.8	5.7	Zhuang, Miranda
Baidu	BIDU US	114.3	38.9	Buy	-15.5	2.6	-12.5	33.3	14.3	12.5	-2	14	0.8	0.8	-	-	6.1	6.4	Zhuang, Miranda
Baidu	9888 HK	109.6	38.0	Buy	-15.7	3.7	-16.7	31.3	14.3	12.5	-2	14	0.8	0.8	-	-	6.1	6.4	Zhuang, Miranda
Bilibili	BILI US	17.0	7.2	Buy	-1.7	-24.5	-30.7	-20.6	16.8	13.0	18	29	2.3	2.0	-	-	18.6	21.3	Liu, Alex
Bilibili	9626 HK	131.7	7.1	Buy	-3.4	-22.8	-31.7	-21.5	16.8	13.0	18	29	2.3	2.0	-	-	18.6	21.3	Liu, Alex
Kuaishou	1024 HK	41.6	23.0	Buy	-7.1	-6.2	-33.8	-32.7	9.4	8.0	-18	17	1.6	1.3	1.6	1.6	19.2	18.5	Zhuang, Miranda
Tencent	700 HK	429.8	499.2	Buy	0.6	-10.2	-27.4	-13.6	12.4	11.6	6	7	2.5	2.3	1.3	1.4	21.1	20.1	Liu, Alex
Weibo	WB US	7.3	1.8	Underp.	-7.6	-11.2	-24.0	-18.5	5.2	5.1	-15	2	0.3	0.3	6.6	6.6	9.2	8.9	Zhuang, Miranda
Weibo	9898 HK	56.5	1.8	Underp.	-4.9	-9.8	-23.4	-20.5	5.2	5.1	-15	2	0.3	0.3	6.6	6.6	9.2	8.9	Zhuang, Miranda
COM- Movies & Entertainment																			
Damai Entertainment	1060 HK	0.5	1.7	Buy	-21.6	-27.8	-52.1	-52.6	16.8	12.7	93	30	0.7	0.7	-	-	4.3	5.3	Zhuang, Harry
Maoyan Entertainment	1896 HK	4.5	0.7	Neutral	-14.7	-18.4	-32.6	-35.9	9.9	7.6	-21	30	0.5	0.4	4.0	5.2	6.0	7.3	Zhuang, Harry
Tencent Music	TME US	8.4	13.9	Neutral	-9.4	-7.6	-51.1	-56.0	8.2	7.2	11	14	0.5	0.4	-	-	12.9	13.2	Liu, Alex
Tencent Music	1698 HK	32.9	13.9	Neutral	-7.0	-9.3	-51.1	-55.5	8.2	7.2	11	14	0.5	0.4	-	-	12.9	13.2	Liu, Alex
CD- Apparel & footwear																			
ANTA	2020 HK	71.1	25.3	Buy	-6.3	-4.8	-10.5	-22.6	12.6	11.5	4	10	2.3	2.1	3.7	4.0	20.2	19.6	Yu, Lucy
Bosideng	3998 HK	4.3	6.4	Buy	0.7	7.0	-4.0	-2.1	10.9	10.3	9	4	2.4	2.3	7.3	7.7	23.0	22.1	Yu, Lucy
Laopu Gold	6181 HK	346.4	7.8	Neutral	-31.3	-43.3	-42.6	-64.2	6.5	5.7	56	15	2.8	2.4	11.4	13.1	60.3	54.4	Leung, Ronald
Li Ning	2331 HK	14.7	4.9	Buy	-17.9	-30.2	-19.9	-9.9	10.6	10.0	6	6	0.8	0.8	4.7	5.0	11.0	11.0	Yu, Lucy
Shenzhou	2313 HK	39.4	7.5	Buy	-13.0	-13.7	-34.0	-26.0	9.7	8.6	-9	13	1.3	1.2	6.3	7.1	13.8	14.7	Luo, Chen
Topsports	6110 HK	1.7	1.4	Neutral	-37.9	-36.5	-40.2	-37.7	7.5	8.1	-2	-9	1.1	1.1	18.4	12.4	14.5	13.4	Yu, Lucy
Yue Yuen	551 HK	12.3	2.5	Neutral	-11.0	-14.3	-18.2	12.0	7.6	6.8	-13	12	0.6	0.6	9.2	10.3	7.4	8.5	Pang, Xinyi (Yoyo)
CD- Auto																			
BAIC Motor	1958 HK	0.8	0.8	Underp.	-35.5	-49.0	-59.6	-59.8	NM	NM	NM	3	0.1	0.1	-	-	-2.5	-2.5	Lee, Ming Hsun
BYD	1211 HK	72.5	97.8	Buy	-20.3	-31.2	-23.7	-40.6	15.6	13.4	12	16	2.1	1.9	0.6	0.7	14.1	14.7	Lee, Ming Hsun
Chery Auto	9973 HK	24.3	18.0	Buy	-11.3	-5.9	-18.2	NA	6.5	5.3	-0	22	1.9	1.5	4.6	5.7	31.6	31.9	Yang, Joey
Geely	175 HK	16.9	23.2	Buy	-8.0	-17.3	-3.3	8.4	7.6	6.7	24	14	1.4	1.2	3.7	4.2	20.6	20.0	Lee, Ming Hsun
Great Wall Motor	2333 HK	8.8	16.5	Neutral	-15.4	-28.6	-42.4	-24.2	5.4	4.8	22	12	0.7	0.6	5.5	6.2	13.0	13.3	Lee, Ming Hsun
GAC Motor	2238 HK	2.1	6.3	Underp.	-19.4	-31.6	-49.1	-27.5	NM	NM	80	-33	0.0	0.1	-	-	-1.7	-2.3	Lee, Ming Hsun
Li Auto	2015 HK	46.1	12.4	Neutral	-20.3	-31.9	-28.9	-56.9	NM	84.0	NM	NM	1.2	1.2	-	-	-5.6	1.5	Lee, Ming Hsun
Li Auto	LI US	11.7	12.4	Neutral	-21.8	-34.2	-30.7	-56.7	NM	84.0	NM	NM	1.2	1.2	-	-	-5.6	1.5	Lee, Ming Hsun
Leapmotor	9863 HK	34.5	5.9	Buy	-12.3	-26.7	-29.1	-37.0	36.2	15.4	118	134	2.6	2.2	-	-	8.0	16.5	Lee, Ming Hsun
NIO	NIO US	5.1	12.7	Neutral	-9.6	-16.1	-0.8	47.5	113	53.5	NM	113	5.3	4.7	-	-	8.4	11.0	Lee, Ming Hsun
NIO	9866 HK	38.7	12.4	Neutral	-8.8	-11.7	-5.4	41.4	113	53.5	NM	113	5.3	4.7	-	-	8.4	11.0	Lee, Ming Hsun
Seres	9927 HK	46.0	15.4	Buy	-32.1	-42.3	-56.5	NA	10.6	8.4	10	26	1.5	1.3	3.3	4.2	15.0	16.8	Yang, Joey
VOYAH	7489 HK	2.9	1.4	Neutral	-45.0	-43.4	NA	NA	6.0	4.3	52	39	0.8	0.6	-	-	14.1	16.8	Lee, Ming Hsun
Xpeng	XPEV US	13.2	12.7	Buy	-19.5	-22.6	-34.7	-26.0	NM	NM	-164	55	3.1	3.3	-	-	-10.4	-5.1	Lee, Ming Hsun
Xpeng	9868 HK	50.7	12.4	Buy	-20.7	-22.6	-36.2	-28.3	NM	NM	-164	55	3.1	3.3	-	-	-10.4	-5.1	Lee, Ming Hsun
Yadea	1585 HK	8.9	3.5	Buy	-16.6	-29.1	-17.4	-25.2	7.0	6.0	14	18	1.9	1.6	7.1	8.3	29.2	29.1	Yang, Joey
CD- Auto Components																			
CALB	3931 HK	23.4	5.3	Buy	-19.8	-26.0	-6.7	37.1	13.6	9.8	80	38	1.0	0.9	-	-	7.1	9.5	Lee, Ming Hsun
CATL	3750 HK	702.0	274.8	Buy	-5.7	15.9	40.6	116.5	29.8	24.9	29	20	7.0	6.0	1.7	2.0	25.5	26.1	Lee, Ming Hsun
Fuyao Glass	3606 HK	51.2	18.8	Buy	-7.9	-10.8	-22.1	-5.4	11.9	9.9	4	20	2.7	2.3	5.0	6.1	25.1	28.1	Lo, Jessie
Hesai	HSAI US	18.2	2.9	Buy	-3.6	-4.7	-18.7	-17.0	34.3	17.8	17	93	1.5	1.4	-	-	5.5	9.9	Lo, Jessie
Hesai	2525 HK	129.6	2.6	Buy	-17.9	-8.3	-27.2	NA	34.3	17.8	17	93	1.5	1.4	-	-	5.5	9.9	Lo, Jessie
Joyson	699 HK	12.8	4.7	Buy	-20.2	-12.7	-32.5	NA	9.7	8.1	20	20	0.9	0.9	3.8	4.6	9.8	11.0	Liang, Fiona
Minth	425 HK	26.4	3.9	Buy	-30.1	-18.6	-16.7	17.9	8.5	7.3	15	16	1.0	0.9	4.7	5.5	12.6	13.3	Liang, Fiona
Nexteer	1316 HK	3.8	1.2	Buy	-19.5	-21.6	-38.4	-30.8	8.3	6.8	44	22	0.6	0.5	4.2	5.1	6.8	7.9	Yang, Joey
WeRide	WRD US	5.8	1.9	Buy	-22.9	-28.1	-32.9	-26.1	NM	NM	5	12	2.0	2.5	-	-	-22.2	-24.7	Lee, Ming Hsun
WeRide	800 HK	14.5	1.8	Buy	-30.0	-28.4	-37.1	NA	NM	NM	5	12	2.0	2.5	-	-	-22.2	-24.7	Lee, Ming Hsun
CD- Hotels, Restaurants & Leisure																			
Atour	ATAT US	31.8	4.3	Buy	-5.9	-12.2	-18.0	0.2	15.0	12.4	23	20	6.2	4.8	0.1	0.2	51.3	47.2	Leung, Ronald
Chow Tai Fook	1929 HK	10.9	13.7	Neutral	-0.8	0.2	-12.0	-15.4	12.1	10.0	52	21	3.5	3.1	6.1	6.4	31.4	33.1	Leung, Ronald
DPC Dash Ltd	1405 HK	29.5	0.5	Buy	-23.8	-38.4	-58.9	-71.3	13.3	9.4	37	42	1.3	1.1	-	-	9.9	12.7	Yu, Lucy
Galaxy Entertainment	27 HK	29.4	16.4	Buy	-6.1	-13.8	-21.3	-12.0	12.6	12.5	-5	1	1.5	1.4	5.4	5.4	12.7	12.6	Choi, Karl
Guming	1364 HK	21.1	6.4	Buy	-7.3	-22.6	-14.7	-14.1	13.6	11.1	23	23	5.8	4.5	3.4	4.3	47.9	45.9	Yu, Lucy
Haidilao	6862 HK	10.6	7.5	Neutral	-16.8	-23.5	-23.4	-24.9	11.6	10.9	6	7	4.8	4.6	7.5	8.0	41.7	42.2	Yu, Lucy
Huazhu	HTHT US	41.7	12.8	Buy	-7.1	-14.9	-9.0	28.9	16.0	13.9	10	15	6.2	5.5	3.8	4.7	42.3	47.1	Leung, Ronald
Huazhu	1179 HK	33.4	13.1	Buy	-4.9	-12.4	-7.2	31.9	16.0	13.9	10	15	6.2	5.5	3.8	4.7	42.3	47.1	Leung, Ronald
Melco Resorts	MLCO US	5.3	2.1	Neutral	-5.2	-7.2	-30.4	-27.1	35.9	28.0	-5	28	NM	NM	0.4	1.9			Choi, Karl
MGM China Holdings	2282 HK	10.1	4.9	Buy	-5.7	-5.3	-20.1	-17.0	8.4	7.6	-9	10	7.5	5.1	6.0	6.6	110	79.5	Choi, Karl
Mixue Group	2097 HK	228.6	11.1	Underp.	-13.3	-22.0	-44.2	-55.5	11.8	10.1	7	18	2.4	2.0	-	-	23.0	21.6	Luo, Chen
NagaCorp Ltd.	3918 HK	3.5	2.0	Neutral	-12.0	-6.3	-22.4	2.9	6.1	5.9	5	4	0.7	0.7	4.7	4.5	12.8	12.2	Leung, Ronald
Sands China Ltd.	1928 HK	13.1	13.5	Buy	-14.9	-18.3	-31.2	-16.5	13.3	12.7	13	5	9.5	9.4	7.7	8.5	71.7	74.4	Choi, Karl

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Exhibit 60: By end of 2Q26, our China research team rates 64% of the coverage at Buy, 22% at Neutral, and 13% at Underperform

Valuation table for BofA Global Research China coverage universe (as of Jun 30, 2026)

Company	Ticker	PX (Local) 30-Jun	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	PE (x) 26E	PE (x) 27E	EPS Growth (%) 26E	EPS Growth (%) 27E	PB (x) 26E	PB (x) 27E	Divi Yield (%) 26E	Divi Yield (%) 27E	ROE (%) 26E	ROE (%) 27E	Analyst
Shangri-La Asia	69 HK	4.0	1.8	Buy	-4.3	-6.9	-13.8	-3.0	12.3	11.6	21	6	0.3	0.3	3.8	3.8	2.6	2.6	Leung, Ronald
SJM Holdings Limited	880 HK	1.5	1.3	Underp.	-23.6	-30.1	-39.4	-42.3	138	42.0	NM	230	0.8	0.8	-	-	0.6	1.8	Choi, Karl
TravelSky	696 HK	8.1	3.0	Neutral	-12.4	-16.4	-21.4	-23.0	8.2	7.7	9	6	0.8	0.7	4.3	4.6	10.0	9.8	Han, Amy
Wynn Macau	1128 HK	5.1	3.4	Neutral	-6.9	-3.7	-11.5	-0.4	13.1	12.6	24	4	NM	NM	8.8	8.8			Choi, Karl
Yum China	9987 HK	319.6	14.1	Buy	-6.8	-16.5	-12.3	-7.0	14.0	12.3	16	14	2.9	2.9	2.8	3.1	19.6	22.2	Luo, Chen
Yum China	YUMC US	40.9	14.1	Buy	-3.7	-15.7	-13.3	-6.5	14.0	12.3	16	14	2.9	2.9	2.8	3.1	19.6	22.2	Luo, Chen
CD- Household Durables																			
Haier Smart Home	6690 HK	20.0	26.6	Buy	1.4	-3.6	-17.7	-9.9	8.3	7.8	-0	6	1.3	1.2	7.1	7.8	16.0	15.7	Yu, Lucy
Hisense	921 HK	24.4	5.2	Neutral	12.3	29.3	11.3	20.5	8.7	8.4	5	4	1.5	1.4	5.7	6.0	18.3	17.4	Yu, Lucy
Man Wah Holdings	1999 HK	3.0	1.5	Neutral	-17.6	-30.6	-34.6	-26.4	6.4	6.1	-12	5	0.8	0.8	8.0	8.4	13.5	12.9	Pang, Xinyi (Yoyo)
Midea	300 HK	82.6	84.3	Buy	1.3	3.7	2.3	17.5	11.7	10.7	6	9	2.3	2.2	6.7	7.5	20.4	21.2	Luo, Chen
CD- Internet & Direct Marketing Retail																			
Alibaba	BABA US	96.0	230.4	Buy	-22.0	-22.8	-33.9	-14.6	15.3	19.0	-20	-21	1.3	1.3	1.1	1.1	9.2	6.9	Ju, Joyce
Alibaba	9988 HK	92.9	227.4	Buy	-22.5	-21.3	-34.4	-14.7	15.3	19.0	-20	-21	1.3	1.3	1.1	1.1	9.2	6.9	Ju, Joyce
JD.com	JD US	25.5	34.8	Buy	-11.6	-10.8	-8.1	-19.2	10.3	7.3	28	41	0.8	0.7	4.2	4.0	7.9	10.1	Ju, Joyce
JD.com	9618 HK	99.3	34.6	Buy	-12.6	-9.1	-7.8	-19.6	10.3	7.3	28	41	0.8	0.7	4.2	4.0	7.9	10.1	Ju, Joyce
Meituan	3690 HK	68.5	53.9	Neutral	-6.7	-17.4	-33.7	-45.3	NM	12.0	54	NM	2.7	2.2	-	-	-3.7	24.9	Ju, Joyce
MINISO Group	MNSO US	12.1	3.7	Neutral	-7.0	-23.8	-34.1	-31.4	6.3	7.7	39	-18	2.0	1.8	6.4	6.5	35.1	25.4	Yu, Lucy
MINISO Group	9896 HK	23.6	3.7	Neutral	-8.8	-21.5	-33.7	-31.4	6.3	7.7	39	-18	2.0	1.8	6.4	6.5	35.1	25.4	Yu, Lucy
New Oriental	EDU US	45.9	7.3	Buy	0.3	-18.0	-15.6	-12.9	12.5	9.7	16	30	2.1	2.0	2.6	3.5	16.0	19.8	Yu, Lucy
New Oriental	9901 HK	35.9	7.3	Buy	-1.5	-16.7	-14.1	-12.9	12.5	9.7	16	30	2.1	2.0	2.6	3.5	16.0	19.8	Yu, Lucy
PDD Holdings	PDD US	76.3	108.6	Neutral	-9.7	-25.3	-32.7	-27.1	7.6	6.0	-5	26	1.4	1.1	-	-	21.7	22.0	Ju, Joyce
Pop Mart	9992 HK	154.7	26.3	Neutral	-10.8	9.7	-16.1	-40.9	13.1	11.0	3	20	5.6	4.1	1.9	2.3	50.0	42.8	Ma, Alice
TAL	TAL US	9.6	5.3	Buy	-1.4	-15.8	-12.3	-6.4	5.0	5.9	402	-15	1.5	1.4	-	-	29.3	23.5	Yu, Lucy
Tongcheng Travel	780 HK	12.0	3.6	Buy	-13.6	-32.1	-45.5	-37.5	7.4	6.4	19	16	0.9	0.8	2.9	3.4	15.7	16.0	Ju, Joyce
Trip.com	TCOM US	39.8	25.1	Buy	-16.0	-20.0	-44.6	-32.1	14.3	10.9	-60	31	0.9	0.9	-	0.8	7.1	8.6	Ju, Joyce
Trip.com	9961 HK	311.6	25.0	Buy	-15.5	-18.2	-43.8	-31.7	14.3	10.9	-60	31	0.9	0.9	-	0.8	7.1	8.6	Ju, Joyce
Vipshop	VIPS US	13.3	6.4	Buy	-6.8	-12.1	-21.9	-8.2	4.9	5.8	28	-16	0.9	0.8	-	-	19.6	14.7	Ju, Joyce
Yongda	3669 HK	0.7	0.2	Underp.	-9.1	-49.6	-60.2	-67.7	NM	4.5	97	NM	0.1	0.1	-	11.0	-2.0	3.0	Yang, Joey
Zhongsheng Group	881 HK	4.9	1.5	Underp.	-21.3	-41.0	-58.3	-59.9	7.5	5.1	NM	48	0.2	0.2	5.3	7.9	3.0	4.4	Yang, Joey
CS- Food & Personal Products																			
Busy Ming	1768 HK	311.6	8.7	Buy	-6.3	-11.5	NA	NA	17.0	13.0	34	31	4.3	3.5	1.8	2.3	31.5	29.4	Chen, Jack
China Feihe	6186 HK	2.8	3.1	Neutral	-4.5	-16.1	-28.1	-47.4	8.8	7.8	29	12	0.8	0.8	8.0	9.0	10.1	10.9	Chen, Jack
CR Beverage	2460 HK	7.3	2.2	Neutral	-10.7	-16.2	-27.2	-38.8	12.6	11.2	22	12	1.4	1.3	5.9	6.7	11.0	12.1	Chen, Jack
Eastroc	9980 HK	107.2	13.1	Buy	-19.0	-30.0	NA	NA	13.3	12.7	7	5	5.9	5.0	4.5	4.7	49.0	42.8	Chen, Jack
Giant Biogene	2367 HK	26.5	3.6	Buy	-7.6	1.1	-16.5	-51.8	12.2	10.7	4	14	2.3	2.0	4.9	5.6	19.3	20.0	Cui, Ethan
Haitian	3288 HK	29.9	28.3	Buy	-8.4	-15.9	-4.2	-10.7	19.3	17.4	11	11	2.8	2.7	4.1	4.6	18.6	19.9	Chen, Jack
Mao Geping	1318 HK	51.9	3.2	Buy	-13.4	-30.1	-35.5	-51.4	13.9	11.1	31	26	3.9	3.2	2.9	3.7	30.8	32.2	Yu, Lucy
Mengniu Dairy	2319 HK	16.1	8.0	Buy	-1.5	-2.9	12.0	3.7	11.2	10.1	213	12	1.3	1.2	4.5	5.5	11.6	12.3	Luo, Chen
Muyuan	2714 HK	29.0	29.3	Buy	-17.7	-22.2	-24.6	NA	16.0	8.5	-45	88	1.7	1.4	2.4	4.7	10.8	17.9	Zhao, Matty
Nongfu Spring	9633 HK	39.6	56.8	Buy	-7.4	-13.3	-13.1	1.5	21.8	19.3	11	13	9.0	7.9	3.2	3.6	42.0	41.9	Chen, Jack
Smoore	6969 HK	7.0	5.5	Underp.	-22.9	-19.2	-39.8	-60.3	23.9	18.0	1	32	1.8	1.9	6.2	8.2	7.2	9.9	Ma, Alice
Tingyi	322 HK	9.8	7.0	Neutral	-11.2	-18.2	-10.0	-7.7	11.3	10.8	-6	5	3.2	3.2	8.8	9.3	28.1	29.5	Chen, Jack
Uni-President China	220 HK	6.8	3.7	Neutral	-7.8	-7.9	-10.9	-23.7	12.6	12.0	-2	5	1.9	1.9	8.0	8.4	14.8	15.5	Chen, Jack
Want Want China	151 HK	3.4	5.1	Underp.	-18.5	-26.5	-26.9	-36.3	8.8	8.2	-7	5	1.7	1.5	4.6	4.9	21.2	19.7	Luo, Chen
WH Group	288 HK	8.3	13.6	Buy	-8.4	-15.7	-0.2	21.8	8.1	8.1	6	-0	1.1	1.0	6.8	6.8	14.3	13.0	Luo, Chen
Yihai	1579 HK	12.7	1.7	Underp.	-7.8	-18.6	5.5	-2.2	11.7	11.3	7	3	2.4	2.3	7.9	8.1	19.0	19.3	Yu, Lucy
CS- Liquors																			
BUD APAC	1876 HK	6.1	10.3	Buy	-12.7	-10.0	-14.6	-16.6	17.1	15.5	23	10	1.0	1.0	7.3	7.4	5.9	6.6	Luo, Chen
CR Beer	291 HK	21.3	8.8	Buy	-12.1	-14.9	-16.8	-11.2	10.1	9.7	75	4	1.7	1.6	5.7	6.2	17.6	17.2	Luo, Chen
Tsingtao Brewery	168 HK	43.0	9.1	Buy	-8.2	-5.8	-6.3	-10.9	10.5	10.0	5	5	1.6	1.5	6.8	7.2	15.4	15.5	Luo, Chen
EG- Coal & Consumable Fuels																			
CGN Mining	1164 HK	2.4	2.4	Buy	-23.6	-36.5	-20.6	0.9	15.7	10.8	205	45	3.4	2.6	0.4	0.4	24.4	27.5	Chan, Miriam
China Coal	1898 HK	9.9	21.6	Neutral	-22.1	-25.4	-1.0	14.1	7.3	7.1	7	3	0.7	0.6	4.8	5.0	9.4	9.1	Zhao, Matty
Shenhua	1088 HK	40.1	122.6	Buy	-11.0	-13.0	3.4	35.2	12.0	11.8	6	2	1.6	1.6	6.2	6.4	13.7	13.5	Zhao, Matty
Yankuang Energy	1171 HK	11.1	21.3	Buy	-21.6	-21.7	18.6	49.2	7.0	7.2	61	-2	0.9	0.8	7.1	7.0	13.0	11.8	Zhao, Matty
EG- Oil & Gas																			
COSL	2883 HK	6.3	6.2	Buy	-17.5	-27.8	-6.8	1.2	6.5	5.7	4	12	0.5	0.5	5.4	6.1	8.2	8.7	Wang, Yiming
PetroChina	857 HK	8.5	229.9	Buy	-19.7	-18.7	4.3	33.6	7.3	8.2	18	-11	0.8	0.7	6.2	6.1	11.0	9.1	Zhao, Matty
Sinopec	386 HK	4.0	76.0	Buy	-4.5	-8.2	-11.7	2.6	10.4	9.3	24	12	0.5	0.5	6.7	7.6	5.0	5.7	Zhao, Matty
FI- Banks																			
ABC	1288 HK	5.3	306.4	Neutral	-7.5	-1.7	-5.3	2.5	5.6	5.3	6	4	0.7	0.7	5.7	6.0	10.1	9.9	Wu, Winnie
BOC	3988 HK	5.0	254.3	Neutral	-4.2	0.4	11.9	12.3	5.8	5.6	1	3	0.6	0.6	5.5	5.7	8.7	8.4	Wu, Winnie
BoCHK	2388 HK	42.4	57.1	Neutral	-9.1	2.5	11.3	30.5	10.5	10.2	6	3	1.2	1.2	5.4	5.7	11.5	11.3	Wu, Winnie
BoComm	3328 HK	6.7	80.6	Neutral	-7.7	-4.3	4.5	-5.2	5.4	5.2	-1	4	0.5	0.5	5.9	6.2	8.1	8.0	Wu, Winnie
CCB	939 HK	8.1	277.4	Buy	-4.9	-3.8	4.9	4.5	5.3	5.1	1	3	0.5	0.5	5.8	6.0	9.6	9.3	Wu, Winnie
China Everbright Bank	6818 HK	2.9	24.5	Underp.	-3.9	-3.6	-16.8	-20.8	4.1	3.9	7	4	0.3	0.3	7.4	7.7	7.2	7.1	Xu, Emma
CQRB	3618 HK	5.8	9.8	Buy	-7.2	-13.0	-0.3	-7.5	4.3	3.9	10	10	0.5	0.5	7.1	7.8	9.6	9.8	Han, Wenqing
CMB	3968 HK	44.9	134.2	Underp.	-4.6	-8.8	-13.0	-12.8	6.7	6.6	2	2	0.8	0.8	5.3	5.4	12.8	12.0	Wu, Winnie
China Citic Bank	998 HK	6.7	54.2	Buy	-8.8	-13.5	-1.5	-6.0	4.6	4.3	3	7	0.5	0.5	6.8	7.3	9.2	9.3	Xu, Emma

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Exhibit 60: By end of 2Q26, our China research team rates 64% of the coverage at Buy, 22% at Neutral, and 13% at Underperform

Valuation table for BofA Global Research China coverage universe (as of Jun 30, 2026)

Company	Ticker	PX (Local) 30-Jun	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	PE (x) 26E	PE (x) 27E	EPS Growth (%) 26E	EPS Growth (%) 27E	PB (x) 26E	PB (x) 27E	Divi Yield (%) 26E	Divi Yield (%) 27E	ROE (%) 26E	ROE (%) 27E	Analyst
ICBC	1398 HK	6.4	352.0	Buy	-3.2	-3.6	5.1	12.2	5.4	5.1	4	4	0.6	0.6	5.8	6.1	9.3	9.1	Wu, Winnie
MSB	1988 HK	3.1	20.2	Underp.	-4.8	-12.9	-18.7	-25.7	4.4	4.2	-2	5	0.2	0.2	6.8	7.2	4.7	4.8	Xu, Emma
PSBC	1658 HK	4.6	84.4	Underp.	-9.0	-6.9	-11.8	-14.4	5.6	5.3	-3	5	0.5	0.5	5.8	6.2	8.2	8.1	Wu, Winnie
FI- Diversified Financials																			
China Merchants Securities	6099 HK	17.3	25.9	Buy	18.0	31.6	23.9	26.3	8.9	8.9	24	0	1.4	1.4	3.7	3.7	11.8	11.3	Liu, Susie
CICC	3908 HK	21.0	20.7	Buy	8.4	23.9	8.7	21.4	7.9	7.2	23	10	1.3	1.3	2.2	2.5	10.8	11.2	Liu, Susie
CITICS	6030 HK	27.3	60.8	Buy	4.7	16.7	1.3	20.1	10.1	9.2	19	9	1.4	1.4	3.5	3.9	11.9	12.2	Liu, Susie
CSC	6066 HK	12.0	29.8	Buy	6.1	16.2	-6.2	18.5	8.5	7.8	13	9	2.3	2.3	3.8	4.1	11.1	11.2	Liu, Susie
Futu	FUTU US	93.7	13.1	Buy	-9.9	-30.4	-42.0	-22.9	9.8	8.1	-7	21	2.0	2.0	2.6	3.1	22.3	21.9	Xu, Emma
Galaxy Securities	6881 HK	7.4	16.9	Neutral	-5.2	-6.8	-26.6	-13.6	5.8	5.3	6	9	0.9	0.9	6.0	6.6	9.9	10.2	Liu, Susie
GF Securities	1776 HK	17.0	24.5	Buy	5.2	18.0	-3.5	29.7	7.4	6.8	19	9	1.2	1.2	4.9	5.3	11.5	11.9	Liu, Susie
Guotai Haitong Securities	2611 HK	14.9	44.5	Buy	13.7	14.3	-8.1	22.6	8.5	7.8	-13	9	0.9	0.9	4.7	5.1	8.0	8.2	Liu, Susie
HKEX	388 HK	363.0	58.7	Buy	-9.2	-6.6	-9.5	-10.8	24.5	23.4	5	5	7.4	7.4	3.7	3.8	31.2	30.9	Li, Michael
Huatai Securities	6886 HK	16.7	25.9	Buy	5.4	12.8	-11.3	8.7	7.2	6.8	17	5	0.9	0.9	4.5	4.7	10.1	10.3	Liu, Susie
Orient Securities	3958 HK	5.5	11.1	Underp.	-0.1	5.3	-16.9	4.1	6.8	6.4	5	7	0.9	0.9	7.0	7.5	7.2	7.4	Liu, Susie
Qifu Technology	QFIN US	15.8	1.9	Neutral	-1.7	29.8	-13.1	-60.3	3.7	3.5	-36	8	0.5	0.5	10.3	10.8	13.8	13.3	Xu, Emma
Qifu Technology	3660 HK	62.1	1.9	Neutral	4.6	32.0	-13.4	-61.3	3.7	3.5	-36	8	0.5	0.5	10.3	10.8	13.8	13.3	Xu, Emma
Tiger Brokers	TIGR US	4.4	0.8	Buy	-14.4	-30.2	-54.0	-54.4	10.8	6.6	-58	65	0.9	0.9	-	-	8.0	12.1	Xu, Emma
FI- Insurance																			
China Life Insurance	2628 HK	26.7	133.8	Buy	-5.2	11.2	-0.1	51.0	5.7	5.1	-26	11	0.9	0.8	3.9	4.1	17.6	17.0	Li, Michael
CPIC	2601 HK	26.9	38.3	Buy	-10.7	-12.0	-20.3	4.4	4.2	4.0	-2	6	0.7	0.6	5.2	5.5	16.4	15.5	Li, Michael
FWD Group	1828 HK	28.4	4.6	Buy	-5.8	-6.5	-25.3	NA	14.0	11.3	206	24	0.7	0.7	-	-	4.9	6.0	Li, Michael
New China Life Insurance	1336 HK	46.0	24.4	Underp.	-5.0	-0.6	-15.3	15.0	3.7	3.5	-8	7	1.0	0.9	7.0	7.5	28.2	27.0	Li, Michael
PICC Group	1339 HK	4.7	40.6	Buy	-9.5	-13.1	-30.5	-18.8	3.7	3.4	6	8	0.5	0.5	5.7	6.1	15.0	14.8	Li, Michael
PICC P&C	2328 HK	14.3	40.6	Buy	-1.6	0.4	-12.5	-2.1	6.9	6.3	-1	10	0.9	0.9	5.5	5.6	13.4	13.9	Li, Michael
Ping An Insurance	2318 HK	51.1	123.5	Buy	-12.0	-11.1	-18.9	7.9	5.3	5.0	12	6	0.7	0.7	6.4	6.7	14.5	14.4	Li, Michael
ZhongAn Online P&C	6060 HK	9.0	1.9	Buy	-16.7	-29.4	-44.1	-50.7	9.3	9.4	20	-2	0.5	0.5	-	-	5.5	5.2	Li, Michael
HC- Biotechnology																			
Akeso	9926 HK	88.1	10.3	Buy	-25.4	-32.4	-22.1	-4.2	578	63.2	NM	816	7.6	6.7	-	-	1.3	11.2	Cui, Ethan
BeiGene	ONC US	285.0	35.6	Buy	-1.0	-4.0	-6.2	17.7	48.6	21.6	115	125	6.4	5.0	-	-	13.2	24.5	Li, Bo (David)
BeiGene	6160 HK	170.4	35.3	Buy	-3.6	-0.7	-5.0	15.3	48.6	21.6	115	125	6.4	5.0	-	-	13.2	24.5	Li, Bo (David)
CanSino	6185 HK	22.3	1.2	Buy	-13.7	-28.6	-36.2	-35.3	38.0	14.2	350	167	0.5	0.5	-	-	2.5	6.4	Li, Bo (David)
Everest Medicine	1952 HK	24.5	1.1	Neutral	-18.7	-34.7	-33.7	-60.6	NM	28.7	56	NM	1.5	1.4	-	-	-2.5	4.7	Li, Bo (David)
Innovent	1801 HK	79.6	17.6	Buy	-4.5	-6.2	4.4	1.5	127	47.0	11	172	5.5	4.9	-	-	4.5	11.1	Li, Bo (David)
Kelun-Biotech	6990 HK	436.2	13.4	Buy	-5.6	-5.2	11.2	33.3	NM	60.9	33	NM	19.1	14.5	-	-	-5.4	27.1	Li, Bo (David)
Laekna	2105 HK	6.7	0.4	Buy	-42.1	-55.2	-50.5	-61.5	NM	NM	26	0	2.5	3.0	-	-	-16.5	-19.2	Li, Bo (David)
Zai Lab	ZLAB US	19.0	2.2	Neutral	7.4	1.0	7.7	-45.7	NM	NM	-65	15	4.7	2.1	-	-	-49.4	-33.7	Li, Bo (David)
Zai Lab	9688 HK	14.5	2.1	Neutral	4.0	5.5	5.9	-47.3	NM	NM	-65	15	4.7	2.1	-	-	-49.4	-33.7	Li, Bo (David)
HC- Health Care Equipment & Services																			
Adicon Holdings	9860 HK	4.2	0.4	Buy	-2.8	-0.5	-1.2	-37.2	25.2	13.6	456	85	1.4	1.3	-	-	6.1	10.1	Li, Bo (David)
AliHealth	241 HK	3.1	6.4	Buy	-15.2	-33.9	-39.0	-35.0	22.7	20.8	35	7	2.4	2.5	-	-	13.6	12.5	Zhuang, Miranda
Angelalign Tech	6699 HK	66.3	1.4	Buy	-5.8	-4.3	19.1	26.3	47.3	35.2	6	34	2.6	2.3	0.8	1.1	5.7	6.9	Li, Bo (David)
Baiyunshan	874 HK	14.2	4.5	Buy	-4.9	-12.2	-17.0	-13.4	6.4	6.1	5	4	0.1	0.1	7.2	7.5	8.1	8.1	Sun, Sandra
Gushengtang	2273 HK	25.8	0.7	Buy	-5.1	-3.0	-6.1	-22.1	13.2	11.6	14	13	2.2	2.0	3.8	4.3	17.8	18.4	Li, Bo (David)
Hygeia	6078 HK	9.2	0.7	Buy	-5.0	-19.6	-26.2	-39.9	10.5	9.4	185	11	0.7	0.7	2.9	3.2	7.0	7.4	Cui, Ethan
JD Health	6618 HK	32.8	13.4	Buy	-14.5	-30.2	-40.8	-23.6	13.6	11.9	2	14	1.4	1.2	-	-	10.5	10.7	Zhuang, Miranda
Jinxin Fertility	1951 HK	2.0	0.7	Buy	-10.1	-15.5	-15.5	-34.2	21.0	17.9	NM	17	0.5	0.5	2.7	2.8	3.5	3.8	Cui, Ethan
MicroPort	853 HK	6.2	1.5	Buy	-18.0	-34.9	-43.0	-29.6	22.3	48.7	NM	-54	1.1	1.0	-	-	5.8	2.2	Sun, Sandra
PAGD	1833 HK	7.0	1.9	Underp.	-21.7	-39.4	-50.4	-20.4	28.4	22.5	5	26	1.3	1.2	-	-	4.6	5.5	Zhuang, Miranda
Shanghai Pharma	2607 HK	11.4	7.7	Buy	0.4	-1.3	0.2	1.2	7.6	7.3	-16	5	0.1	0.1	4.0	4.2	6.2	6.2	Li, Bo (David)
Sinopharm	1099 HK	15.9	6.3	Buy	-1.1	-17.2	-13.9	-9.0	5.9	5.6	2	5	0.5	0.5	6.0	6.6	8.4	8.4	Li, Bo (David)
HC- Life Sciences Tools & Services																			
Frontage	1521 HK	1.0	0.2	Underp.	35.7	-13.6	-5.0	-11.2	13.7	12.4	14	11	0.7	0.7	-	-	5.1	5.5	Li, Bo (David)
Joinn Lab	6127 HK	18.6	3.8	Underp.	4.2	-4.4	-9.0	7.7	258	61.3	-84	321	0.3	0.3	0.1	0.3	0.6	2.3	Li, Bo (David)
Pharmaron	3759 HK	18.3	7.1	Buy	4.2	-3.0	-6.8	11.5	14.6	12.9	14	14	0.3	0.3	1.7	1.8	12.1	12.6	Li, Bo (David)
Tigermed	3347 HK	34.8	5.8	Buy	12.9	-15.7	-17.9	-8.7	39.9	35.0	-27	14	0.2	0.2	0.4	0.5	3.0	3.4	Li, Bo (David)
WuXi AppTec	2359 HK	153.7	55.0	Buy	18.0	32.5	57.8	98.7	22.8	18.9	24	20	4.2	3.6	1.4	1.6	19.6	20.4	Li, Bo (David)
Wuxi Biologics	2269 HK	34.6	18.3	Neutral	3.8	4.8	10.1	34.9	23.4	20.6	11	13	2.4	2.1	-	-	10.6	10.8	Li, Bo (David)
HC- Pharmaceuticals																			
CR Pharmaceutical	3320 HK	4.2	3.4	Buy	-6.4	-24.4	-1.8	-13.2	5.1	4.6	12	12	0.4	0.3	5.0	5.6	8.1	7.7	Li, Bo (David)
CSPC Pharmaceutical	1093 HK	7.0	10.2	Underp.	-5.0	-21.7	-15.5	-6.0	6.2	16.1	185	-61	1.7	1.6	3.7	3.7	29.6	10.0	Cui, Ethan
Hansoh	3692 HK	29.6	22.9	Buy	-5.8	-16.5	-17.9	0.7	26.2	24.4	5	7	3.6	3.3	1.6	1.7	15.0	14.0	Li, Bo (David)
Sino Biopharm	1177 HK	4.4	10.5	Buy	-10.6	-24.3	-27.8	-14.7	21.0	18.3	46	14	2.2	2.0	1.7	1.9	10.7	11.4	Li, Bo (David)
IND- Aerospace & Defense																			
Ehang	EH US	6.6	0.5	Buy	-35.5	-32.5	-50.3	-62.3	NM	NM	15	45	2.3	2.1	-	-	0.8	9.7	Liang, Fiona
IND- Airline, Logistics & Shipping																			
Air China	753 HK	4.2	16.5	Buy	-12.6	-7.2	-40.0	-28.9	NM	12.5	-209	NM	1.4	1.3	-	-	-16.2	12.4	Han, Amy
Cathay Pacific	293 HK	13.0	10.1	Underp.	-2.4	15.7	10.3	30.6	18.5	13.3	-58	39	1.3	1.3	2.7	3.8	7.4	9.8	Gee, Nathan
China Eastern Airlines	670 HK	3.2	11.6	Underp.	-16.8	-9.5	-40.7	0.0	NM	19.5	-449	NM	5.1	3.6	-	-	-68.2	31.6	Han, Amy
China Southern Airlines	1055 HK	3.4	12.3	Neutral	-13.1	-13.1	-41.8	-15.7	NM	13.1	NM	NM	1.4	1.3	-	-	-16.3	10.5	Han, Amy

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Exhibit 60: By end of 2Q26, our China research team rates 64% of the coverage at Buy, 22% at Neutral, and 13% at Underperform

Valuation table for BofA Global Research China coverage universe (as of Jun 30, 2026)

Company	Ticker	PX (Local) 30-Jun	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	PE (x) 26E	PE (x) 27E	EPS Growth (%) 26E	EPS Growth (%) 27E	PB (x) 26E	PB (x) 27E	Divi Yield (%) 26E	Divi Yield (%) 27E	ROE (%) 26E	ROE (%) 27E	Analyst
COSCO Shipping	1919 HK	13.0	29.1	Underp.	-8.2	-9.6	-2.1	3.5	8.5	NM	-33	NM	0.7	0.8	5.9	-	8.7	-3.6	Gee, Nathan
COSCO Shipping Energy	1138 HK	13.8	13.3	Buy	-13.5	-22.9	44.1	120.0	6.1	7.9	148	-24	0.9	0.8	9.0	6.8	21.3	14.6	Gee, Nathan
Full Truck Alliance	YMM US	8.1	8.4	Buy	-7.9	-1.2	-23.5	-30.0	12.6	10.1	2	24	1.2	1.1	2.3	2.7	11.5	12.8	Tso, Fan
Guangshen Railway	525 HK	2.1	2.7	Buy	-6.4	-4.3	-0.8	15.1	10.4	9.4	1	10	0.1	0.1	5.6	5.6	4.9	4.9	Han, Amy
JD Logistics	2618 HK	11.8	10.0	Buy	-8.8	-13.9	2.9	-10.6	7.1	6.4	23	12	1.1	0.9	-	-	16.0	15.3	Tso, Fan
J&T Global Express	1519 HK	8.4	10.3	Buy	-7.4	-17.3	-20.0	23.3	13.6	11.0	61	24	2.3	2.0	-	-	20.0	21.2	Tso, Fan
Orient Overseas Int	316 HK	122.0	10.3	Underp.	-10.4	-10.3	-0.5	-2.4	13.9	NM	-51	NM	0.8	0.8	0.3	-	5.5	-0.9	Gee, Nathan
Pacific Basin	2343 HK	2.7	1.8	Neutral	-14.3	-3.7	18.2	37.3	10.8	9.2	173	17	0.9	0.9	9.3	10.8	8.6	9.9	Gee, Nathan
Sinotrans	598 HK	3.8	4.8	Buy	-19.1	-16.2	-18.3	3.0	9.0	8.6	57	4	0.6	0.6	9.1	9.1	6.3	6.4	Tso, Fan
SITC International	1308 HK	31.4	10.8	Neutral	-9.4	-5.0	19.2	37.9	10.0	12.2	-11	-19	3.6	3.5	7.0	5.7	39.6	28.8	Gee, Nathan
ZTO Express	ZTO US	22.4	17.2	Neutral	1.2	-9.7	8.8	30.1	10.6	9.8	22	8	1.7	1.5	3.8	4.1	15.8	15.3	Tso, Fan
IND- Conglomerate & Commercial Services																			
EB Environment	257 HK	4.6	3.6	Buy	-12.4	-13.1	-3.2	26.1	6.1	5.9	16	5	0.5	0.5	6.8	7.5	8.5	8.5	Guan, Cissy
JD Industrials	7618 HK	11.2	3.9	Buy	-25.7	-10.4	-20.9	NA	16.3	12.0	32	36	2.0	1.7	-	-	13.7	16.0	Zhuang, Miranda
TUHU Car	9690 HK	12.7	1.3	Buy	-5.2	-2.0	-21.3	-34.4	12.2	9.1	6	34	1.4	1.2	-	-	13.7	15.8	Zhuang, Miranda
IND- Construction & Engineering																			
China State Construction Intl	3311 HK	7.0	4.7	Buy	-17.7	-13.5	-20.9	-37.1	3.6	3.6	1	2	0.4	0.4	10.8	11.0	11.9	11.3	Wang, Summer
Sinopec Engineering	2386 HK	4.9	2.9	Neutral	-7.0	-12.7	-33.0	-12.0	7.4	7.2	40	3	0.6	0.5	8.7	9.0	7.8	7.7	Wang, Yiming
Xinyi Glass	868 HK	8.5	4.8	Buy	-12.0	-11.0	5.4	17.3	11.6	9.9	44	18	0.9	0.8	4.2	4.9	7.7	8.6	Zhao, Matty
IND- Electrical Equipment																			
Dongfang Electric	1072 HK	21.3	14.0	Buy	-31.8	-35.6	-12.4	68.7	12.9	10.6	24	22	0.2	0.1	3.8	4.7	10.5	11.9	Wang, Peter
Goldwind	2208 HK	10.5	13.2	Buy	-21.6	-24.8	-19.9	43.8	9.2	6.7	55	38	0.2	0.2	3.0	4.1	10.2	13.0	Tsang, Gary
IND- Heavy Machinery																			
CRRC Times Electric	3898 HK	40.1	11.2	Neutral	1.0	12.2	8.7	35.8	10.2	8.8	13	17	1.1	1.0	3.6	4.2	10.5	11.3	Liu, Yikai
ESTUN	2715 HK	18.7	5.0	Underp.	10.9	66.0	NA	NA	50.5	35.6	589	42	3.8	3.4	-	-	11.0	11.2	Lee, Ming Hsun
GeekPlus	2590 HK	11.9	2.0	Buy	-19.4	-29.8	-45.8	NA	113	38.8	NM	193	3.9	3.5	-	-	3.5	9.5	Wang, Summer
L.K. Technology	558 HK	1.6	0.3	Underp.	-37.0	-40.4	-53.2	-53.6	4.8	3.8	26	27	0.9	0.8	4.2	5.3	20.7	22.5	Yang, Joey
Sanhua	2050 HK	26.4	25.7	Underp.	-15.8	-5.7	-31.0	5.5	21.6	18.9	10	15	2.7	2.5	1.4	1.6	13.4	13.8	Lo, Jessie
Sany Heavy	6031 HK	18.5	23.3	Buy	-3.4	-11.0	-17.1	NA	14.6	12.3	20	19	0.1	0.1	3.5	4.1	11.0	12.3	Lee, Ming Hsun
Sany International	631 HK	6.6	2.8	Buy	-9.8	-37.2	-19.8	2.9	8.9	6.7	27	33	1.3	1.1	6.7	9.0	16.5	19.6	Wang, Summer
Sinotruk	3808 HK	38.5	13.6	Buy	3.4	-0.6	39.5	78.0	10.8	9.3	21	16	1.9	1.8	5.6	6.4	18.1	19.4	Liang, Fiona
UBTECH	9880 HK	102.8	6.6	Buy	0.6	20.4	-18.6	24.0	NM	375	70	NM	6.4	6.4	-	-	-3.0	2.0	Lee, Ming Hsun
Weichai Power	2338 HK	34.1	35.4	Buy	-18.1	24.8	80.9	119.8	18.3	14.4	28	28	0.5	0.4	3.3	4.2	13.9	15.1	Liang, Fiona
Wuxi Lead	470 HK	33.5	9.9	Buy	-36.4	-18.4	NA	NA	20.0	13.7	45	46	2.3	2.0	2.0	2.9	14.7	16.7	Liu, Yikai
Yuchai International	CYD US	47.4	1.8	Buy	-16.4	23.1	33.5	98.3	13.9	11.3	62	23	1.2	1.1	2.2	2.7	8.7	10.0	Liang, Fiona
Zoomlion	1157 HK	6.9	8.7	Buy	-1.3	-17.7	-8.1	25.5	9.3	7.9	15	17	0.2	0.1	7.7	9.0	9.5	10.6	Lee, Ming Hsun
IND- Transportation Infrastructure																			
Beijing Cap Airport	694 HK	1.5	0.8	Buy	-15.2	-20.8	-47.5	-51.0	56.9	17.4	NM	228	0.4	0.4	-	-	0.8	2.5	Han, Amy
China Merchants Port	144 HK	12.3	6.6	Neutral	-17.2	-13.0	-15.8	-9.4	6.8	6.8	16	0	0.4	0.4	6.7	6.9	6.7	6.4	Choi, Karl
IT- Communications Equipment																			
ZTE Corporation	763 HK	22.8	23.7	Buy	-13.1	6.8	-14.2	-4.2	10.3	9.1	63	13	0.2	0.2	3.4	3.8	11.8	12.0	Zhu, Katherine
IT- Electronic Equipment & Components																			
AAC	2018 HK	42.7	6.3	Buy	-6.2	30.1	10.4	5.8	15.7	13.4	11	18	1.6	1.5	1.0	1.1	10.9	11.7	Zhu, Katherine
BYD Electronic	285 HK	20.9	6.0	Neutral	-27.8	-23.7	-37.4	-33.7	11.6	8.3	-0	40	1.1	1.0	2.6	3.6	9.7	12.4	Zhu, Katherine
Cowell	1415 HK	23.5	2.6	Buy	-16.3	-8.4	-13.8	-12.8	10.3	7.7	27	34	2.8	2.2	1.9	2.6	30.0	31.0	Zhu, Katherine
Lens Tech	6613 HK	28.0	40.4	Buy	16.1	41.9	13.5	NA	29.4	19.7	8	49	2.2	2.1	1.9	2.8	7.8	11.0	Zhu, Katherine
RoboSense	2498 HK	22.2	1.3	Buy	-29.8	-36.2	-39.3	-31.1	NM	222	-29	NM	2.5	2.5	-	0.1	-5.0	1.2	Yang, Joey
Sunny Optical	2382 HK	61.0	8.4	Neutral	-26.1	15.9	-5.5	-10.7	14.9	12.3	-17	21	1.8	1.6	1.3	1.6	12.4	13.6	Zhu, Katherine
IT- Semiconductors																			
Black Sesame	2533 HK	10.7	1.0	Neutral	-27.9	-30.9	-44.4	-41.2	NM	NM	15	20	20.4	NM	-	-	-115	-880	Li, Daley
Hua Hong Semi	1347 HK	215.2	56.7	Underp.	33.4	177.1	189.6	520.2	232	157	272	48	6.9	6.7	0.1	0.1	3.0	4.3	Shen, Dai
InnoScience Technology	2577 HK	64.7	7.5	Buy	-8.9	28.9	-17.5	73.7	NM	136	40	NM	7.5	6.4	-	-	-7.5	16.0	Li, Daley
IT- Software & Services																			
Agora	API US	4.0	0.3	Buy	-2.7	12.7	-2.0	4.7	27.5	14.4	51	91	0.4	0.4	-	-	3.0	4.3	Li, Daley
Chinasoft International	354 HK	2.9	1.0	Neutral	-20.8	-10.6	-41.0	-41.3	12.3	8.9	58	38	0.6	0.5	2.9	3.9	4.6	6.0	Li, Daley
GDS Holdings	GDS US	30.0	6.0	Buy	-15.3	-25.5	-14.0	-1.8	19.1	121	145	-84	1.1	1.1	-	-	7.2	1.0	Li, Daley
GDS Holdings	9698 HK	28.2	5.8	Buy	-15.1	-26.9	-16.2	-4.3	19.1	121	145	-84	1.1	1.1	-	-	7.2	1.0	Li, Daley
Horizon Robotics	9660 HK	4.1	7.6	Buy	-22.9	-38.4	-52.9	-37.1	NM	NM	76	50	4.1	4.1	-	-	-15.1	-0.7	Li, Daley
Kingdee International Software	268 HK	5.9	2.7	Buy	-18.6	-30.9	-55.5	-61.7	45.6	22.7	325	101	2.1	2.0	-	-	6.7	10.9	Li, Daley
Kingsoft Cloud	KC US	9.1	2.7	Buy	-26.3	-32.3	-12.5	-27.7	NM	NM	35	89	2.0	2.0	-	-	-3.9	-0.4	Li, Daley
Kingsoft Cloud	3896 HK	4.6	2.7	Buy	-25.4	-32.8	-15.8	-30.1	NM	NM	35	89	2.0	2.0	-	-	-3.9	-0.4	Li, Daley
Kingsoft Corporation	3888 HK	22.2	3.9	Neutral	5.4	-0.7	-21.5	-45.4	11.8	15.2	11	-22	0.9	0.9	0.1	0.5	8.4	6.0	Li, Daley
Meitu Inc.	1357 HK	3.8	2.2	Buy	-13.1	-11.7	-45.9	-57.8	12.7	9.5	66	33	2.3	2.0	3.5	4.6	21.8	25.2	Zhuang, Harry
MiniMax	100 HK	417.0	16.7	Buy	-50.4	-55.1	NA	NA	NM	NM	89	0	NM	NM	-	-			Liu, Alex
Ming Yuan Cloud	909 HK	1.2	0.3	Neutral	-33.9	-39.0	-61.2	-53.9	29.7	16.6	120	79	0.5	0.5	8.6	8.6	2.7	3.9	Li, Daley
Pony AI	PONY US	7.0	3.0	Buy	-30.7	-26.4	-52.1	-47.3	NM	NM	-118	-1	1.8	2.3	-	-	-19.4	-24.2	Lee, Ming Hsun
SUNeVision	1686 HK	4.4	1.3	Buy	-27.5	-19.4	-5.4	-41.3	16.6	15.7	9	6	1.7	1.6	3.0	3.2	17.9	17.8	Choi, Karl
VNET Group	VNET US	8.0	2.3	Buy	-20.2	-4.2	-5.0	16.5	NM	28.4	NM	NM	2.2	2.0	-	-	-1.8	7.4	Li, Daley
Weimob	2013 HK	1.1	0.6	Neutral	-10.3	-22.1	-38.6	-37.6	74.5	33.2	NM	124	1.1	1.0	-	-	3.1	5.8	Li, Daley
Zhipu	2513 HK	2,104.0	119.6	Buy	31.9	203.4	NA	NA	NM	NM	-3	22	NM	NM	-	-			Liu, Alex

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Exhibit 60: By end of 2Q26, our China research team rates 64% of the coverage at Buy, 22% at Neutral, and 13% at Underperform

Valuation table for BofA Global Research China coverage universe (as of Jun 30, 2026)

Company	Ticker	PX (Local) 30-Jun	Mkt Cap (USD bn)	Inv. Rating	1M (%)	3M (%)	6M (%)	12M (%)	PE (x) 26E	PE (x) 27E	EPS Growth (%) 26E	EPS Growth (%) 27E	PB (x) 26E	PB (x) 27E	Divi Yield (%) 26E	Divi Yield (%) 27E	ROE (%) 26E	ROE (%) 27E	Analyst
IT- Technology Hardware																			
Huaqin	3296 HK	68.4	16.4	Buy	-13.2	NA	NA	NA	17.4	13.0	18	34	2.6	2.2	1.7	2.3	16.9	18.5	Zhu, Katherine
Lenovo	992 HK	23.0	36.4	Neutral	-4.1	151.6	148.6	153.9	22.6	14.8	27	53	4.8	3.7	1.7	1.7	29.9	35.2	Cheng, Robert
Xiaomi	1810 HK	21.6	71.1	Buy	-22.8	-31.9	-44.9	-63.9	19.9	13.9	-40	43	1.7	1.5	-	-	10.7	13.1	Cheng, Robert
MAT- Chemicals																			
Ganfeng Lithium	1772 HK	50.3	18.6	Buy	-21.5	-30.7	-2.9	121.2	9.8	9.2	479	7	1.6	1.4	2.0	2.1	18.8	17.1	Zhao, Matty
Sinopec Shanghai Petchem	338 HK	1.1	3.6	Underp.	-3.5	-11.4	-20.4	-14.2	28.1	27.3	NM	3	0.4	0.4	1.8	1.8	1.4	1.5	Wang, Yiming
Tianqi Lithium	9696 HK	40.2	14.6	Buy	-18.1	-12.5	-21.3	38.8	7.4	7.4	NM	0	1.1	1.0	4.0	4.0	17.2	15.0	Zhao, Matty
MAT- Construction Materials & Paper																			
Anhui Conch	914 HK	16.8	12.8	Buy	-8.5	-17.9	-21.2	-11.8	8.1	7.6	12	6	0.4	0.4	7.4	8.5	4.9	5.1	Zhao, Matty
CNBM	3323 HK	5.3	5.2	Buy	0.6	16.1	8.0	47.4	8.6	7.3	NM	19	0.4	0.4	6.4	8.3	4.3	5.0	Zhao, Matty
CR Cement	1313 HK	1.0	0.9	Underp.	-16.0	-30.0	-32.2	-37.0	10.9	6.8	19	60	0.1	0.1	6.0	10.3	1.3	2.0	Zhao, Matty
Lee & Man	2314 HK	2.9	1.6	Buy	-5.3	-14.5	5.4	33.0	5.9	5.3	8	11	0.4	0.4	6.0	6.6	6.7	7.2	Leung, Edward
Nine Dragons	2689 HK	6.8	4.1	Buy	2.6	3.3	15.6	111.5	7.8	6.4	102	22	0.5	0.5	1.3	4.7	7.3	8.2	Zhao, Matty
MAT- Gold																			
SD Gold	1787 HK	16.7	14.4	Buy	-29.1	-47.7	-51.1	-37.6	7.6	6.6	86	14	1.3	1.1	2.3	2.6	18.4	18.5	Chan, Miriam
Zhaojin Mining	1818 HK	16.4	7.4	Buy	-23.6	-48.1	-46.4	-19.2	9.5	8.2	47	15	1.4	1.2	1.1	1.2	18.8	18.2	Chan, Miriam
Zijin Gold Int'l	2259 HK	88.5	30.2	Buy	-31.0	-48.6	-38.7	NA	8.6	7.5	61	14	2.7	2.1	0.2	0.4	35.7	31.3	Zhao, Matty
Zijin	2899 HK	27.4	97.2	Buy	-15.2	-19.1	-22.1	39.8	8.2	7.3	49	12	2.4	2.0	4.3	4.8	35.6	31.1	Zhao, Matty
MAT- Metals & Mining (ex. gold)																			
Angang Steel	347 HK	1.1	2.4	Underp.	-11.9	-26.0	-41.3	-32.7	NM	31.0	-17	NM	0.2	0.2	-	1.0	-8.8	0.7	Chan, Miriam
Chalco	2600 HK	7.5	19.8	Buy	-30.0	-32.2	-37.3	47.3	4.6	4.9	89	-6	1.2	1.0	8.7	9.2	28.4	22.4	Zhao, Matty
China Hongqiao	1378 HK	20.1	25.1	Buy	-28.4	-39.0	-35.0	17.9	5.1	5.4	48	-5	1.1	1.0	12.3	11.7	22.8	19.3	Chan, Miriam
CMOC	3993 HK	15.2	52.8	Buy	-16.8	-4.0	-19.7	93.6	9.3	8.1	48	15	2.7	2.2	3.2	3.7	31.8	29.0	Chan, Miriam
Jiangxi Copper	358 HK	30.9	18.7	Buy	-10.2	-7.3	-26.3	110.2	8.7	8.6	45	1	0.4	0.4	5.4	5.5	12.6	11.8	Zhao, Matty
Maanshan Iron & Steel	323 HK	1.7	2.6	Neutral	-13.5	-33.5	-33.5	-14.4	40.8	6.8	144	504	0.3	0.3	1.2	7.4	0.8	5.0	Chan, Miriam
MMG Limited	1208 HK	6.9	11.4	Buy	-21.2	-3.9	-20.9	81.2	7.3	6.1	187	21	2.0	1.5	-	-	31.2	28.1	Chan, Miriam
RE- Real Estate																			
C&D International	1908 HK	13.5	3.9	Buy	-14.4	13.5	-8.5	-9.8	8.2	7.2	-10	13	0.8	0.7	6.8	7.8	10.3	11.1	Du, Eric
China OVS PPT	2669 HK	3.2	1.4	Underp.	-11.0	-15.8	-26.4	-38.1	6.7	6.5	1	3	1.4	1.2	6.5	6.6	22.0	20.0	Du, Eric
COLI	688 HK	12.1	16.8	Buy	-21.2	6.5	0.4	-8.1	9.1	8.6	-3	5	0.3	0.3	4.3	4.5	3.2	3.3	Choi, Karl
CR Land	1109 HK	30.0	27.3	Buy	-12.4	8.0	13.7	17.1	8.7	8.1	-5	7	0.6	0.6	4.3	4.6	7.2	7.3	Choi, Karl
Country Garden Services	6098 HK	4.9	2.0	Neutral	-8.1	-9.5	-11.3	-18.4	5.7	5.7	-3	0	0.4	0.4	11.1	11.1	6.7	6.7	Du, Eric
CR Mixc Lifestyle	1209 HK	36.7	10.7	Buy	-9.8	-20.2	-12.6	1.2	16.1	14.5	14	11	4.4	4.4	6.2	6.9	27.3	30.4	Du, Eric
Greentown Service	2869 HK	3.9	1.6	Buy	-6.1	-2.6	-11.3	-5.1	10.0	9.0	21	11	1.3	1.2	7.5	8.3	13.1	13.9	Du, Eric
Hang Lung Prop	101 HK	6.9	4.6	Buy	-14.3	-17.5	-16.4	-2.4	10.9	11.0	-3	-0	0.2	0.2	7.5	7.5	2.4	2.5	Tso, Fan
Henderson Land	12 HK	24.8	15.3	Buy	-17.8	-12.0	-9.6	-5.6	16.5	14.7	20	12	0.4	0.3	5.1	5.1	2.2	2.4	Tso, Fan
KE Holdings	BEKE US	14.5	16.8	Buy	-12.5	-1.1	-6.1	-16.6	14.5	12.4	55	16	1.6	1.5	2.8	3.2	11.1	11.5	Zhuang, Miranda
KE Holdings	2423 HK	37.6	16.6	Buy	-13.5	1.0	-7.8	-19.3	14.5	12.4	55	16	1.6	1.5	2.8	3.2	11.1	11.5	Zhuang, Miranda
Kerry Properties	683 HK	18.0	3.3	Buy	-13.0	-13.8	-7.2	-5.2	14.3	9.8	-9	46	0.2	0.2	7.5	7.5	1.8	2.7	Tso, Fan
Longfor	960 HK	6.0	5.4	Buy	-23.8	-20.8	-29.5	-34.2	NM	21.4	-158	NM	0.2	0.2	-	1.4	-2.9	1.1	Choi, Karl
New World Dev	17 HK	6.3	2.0	Underp.	-23.0	-21.7	-12.9	11.1	NM	6.9	79	NM	0.1	0.1	-	-	-2.1	1.4	Tso, Fan
Onewo	2602 HK	15.1	2.2	Neutral	-14.3	-4.2	-15.2	-22.6	7.5	7.6	-4	-1	1.0	1.0	3.5	5.2	13.2	13.1	Du, Eric
Poly Property Serv	6049 HK	25.8	1.8	Neutral	-8.0	-12.7	-14.6	-17.8	7.5	7.2	5	5	1.1	1.0	6.6	7.0	14.9	14.5	Du, Eric
Seazen	1030 HK	1.3	1.2	Buy	-26.9	-34.8	-35.1	-42.9	11.9	6.5	79	82	0.2	0.2	-	-	1.5	2.6	Du, Eric
Swire Properties	1972 HK	20.5	15.1	Buy	-7.6	-9.7	1.3	10.3	15.3	16.8	-10	-9	0.4	0.4	5.8	6.1	2.9	2.6	Choi, Karl
Vanke	2202 HK	2.1	4.8	Underp.	-21.8	-27.1	-35.4	-56.6	NM	NM	74	32	0.0	0.1	-	-	-22.0	-18.3	Choi, Karl
Wharf Holdings Ltd	4 HK	18.1	7.1	Neutral	-18.4	-15.6	-16.0	-22.9	10.5	10.7	28	-1	0.4	0.4	2.9	2.8	3.5	3.4	Choi, Karl
Yuexiu Property	123 HK	3.3	1.7	Buy	-23.6	-11.4	-15.7	-19.7	31.4	6.7	42	366	0.2	0.2	1.3	5.9	0.7	3.1	Du, Eric
UTL- Gas & Water Utilities																			
Beijing Enterprises	392 HK	26.9	4.3	Buy	-10.6	-7.8	-13.4	-12.5	5.6	5.5	15	2	0.3	0.3	7.1	7.3	5.8	5.6	Guan, Cissy
BJ Water	371 HK	2.3	2.9	Buy	-14.0	-13.6	-4.9	1.5	12.4	10.0	1	25	0.7	0.7	8.6	8.7	5.7	7.1	Guan, Cissy
China Gas	384 HK	5.2	3.6	Underp.	-25.3	-27.6	-31.2	-24.8	10.3	11.1	-16	-8	0.5	0.5	6.8	6.8	4.9	4.4	Guan, Cissy
CR Gas	1193 HK	14.7	4.3	Neutral	-17.4	-20.1	-32.8	-23.1	10.8	9.6	-12	12	0.7	0.7	6.5	6.5	6.8	7.5	Guan, Cissy
ENN Energy	2688 HK	40.5	5.8	No Rating	-23.0	-33.3	-38.9	-31.9	7.0	6.6	-5	6	0.8	0.7	8.6	9.3	11.4	11.4	Tsang, Gary
Guangdong Investment	270 HK	7.8	6.5	Buy	-7.1	-0.8	14.3	22.9	10.5	10.3	3	2	1.1	1.1	6.2	6.3	11.0	10.8	Guan, Cissy
Kunlun Energy	135 HK	6.4	7.1	Neutral	-8.0	-8.0	-11.3	-11.3	7.7	7.7	3	1	0.7	0.6	6.0	6.1	8.9	8.5	Wang, Yiming
UTL- Independent Power & Renewable																			
China Power	2380 HK	2.7	4.3	Neutral	-22.1	-8.3	-10.3	-3.1	8.9	8.2	13	9	0.4	0.4	7.7	8.3	5.5	5.8	Xia, Charlotte
CGN Power	1816 HK	2.7	26.5	Buy	-13.5	-21.5	-5.7	3.5	11.5	9.4	4	23	0.2	0.2	3.7	4.7	8.0	9.4	Tsang, Gary
CR Power	836 HK	16.9	11.2	Neutral	-17.4	-3.8	1.5	-5.5	8.3	7.3	-27	14	0.7	0.7	4.9	-	9.2	9.9	Tsang, Gary
Datang Renewable	1798 HK	1.2	1.2	Underp.	-26.6	-20.5	-39.8	-47.2	7.4	7.4	-12	-1	0.2	0.2	4.9	4.8	3.1	3.0	Tsang, Gary
Flat Glass	6865 HK	6.4	3.3	Neutral	-22.8	-24.0	-30.8	-25.9	11.9	6.5	11	83	0.1	0.1	2.5	4.6	4.8	8.3	Leung, Edward
Huadian	1071 HK	3.7	7.3	Underp.	-17.4	-4.1	-5.1	-4.9	10.0	9.8	-32	2	0.4	0.4	4.2	4.4	5.3	5.3	Xia, Charlotte
Huaneng	902 HK	5.5	15.6	Underp.	-18.9	0.0	2.9	23.8	14.5	13.3	-56	9	1.0	1.0	3.7	4.0	7.1	7.5	Tsang, Gary
Longyuan	916 HK	5.0	13.7	Underp.	-26.1	-29.1	-23.9	-27.4	8.3	7.9	-6	5	0.5	0.4	3.5	3.7	5.8	6.0	Tsang, Gary
Xinyi Solar	968 HK	2.1	2.4	Underp.	-22.6	-29.0	-30.4	-16.0	11.2	6.8	66	65	0.6	0.6	4.3	7.1	5.0	8.2	Leung, Edward

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